SIP Monthly Meeting

11 Feb 2024

Follow-up items from Jan-25 monthly meeting

#	Action item	PIC	ETA	Status
1	Implement MYSIP RM pitching; roll out the P-market selling price reduction assessment and approach to other P-markets	Zhang Yu	Update progress in weekly SIP email	On-track; update today
2	Proceed to aligning with MY and implement new BPSF rate card by end Jan; roll out BPSF assessment and discussion with other P-markets	Steven	Update progress in weekly SIP email	Potential delay for IDSIP, rest on-track; update today
3	Assess the current pricing/rebate approach and propose when we should use rebate (e.g., drive ratings, CR, topline, price competitiveness) and how to decide the optimal level of rebates	Zhang Yu	Next monthly meeting	Ongoing assessment; update in Mar-25 monthly SIP meeting
4	Complete ads optimization pilots and propose the optimal level of ads investment on new/old SKUs based on ads PC2	Zhang Yu	Next monthly meeting	On-track; discuss today
5	Breakdown seller tracking based on old vs. new; existing break down before vs. after SKU effi push	Nicholas	10 Jan	Completed; updated separately
6	Double check seller pitching pool (100+ sellers) vs. what Derek has	Nicholas	10 Jan	
7	Compile seller funnel to see where the growth is from	Shuning /Nicholas	10 Jan	
8	Check if TB MY and SG sell the same furniture SKUs	Nicholas	17 Jan	
9	Check furniture SG sellers distribution between SLS vs. 3PF	Nicholas	10 Jan	
10	Check potential furniture sellers in other markets	Nicholas	17 Jan	

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Agenda - SIP monthly meeting (Feb-25)

[A] For update

1. **Jan 25 business performance**
2. **Key SIP initiatives progress update**
   a. [Better price] BPSF reduction
   b. [Better price] COGS reduction
   c. [Better price] ASF reduction from SIP SLS

[B] For discussion

3. **Key SIP initiative proposals for review**
   a. [Smarter marketing] SIP ads optimization plan
   b. [Shorter BWT] SIP SLS 2025 plan
4. **Regional special projects updates for review**
   a. Counter Taobao program
   b. Regional direct selling

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1. [To update] Jan 25 business performance

[Topline & P&L] Jan ADO 166k, 97% RR, %CB +0.2pp MoM; ADG $1.8M, 98% RR, %CB +0.4pp MoM; daily combined PC2 at SHP level $83k, +12% MoM

Metric	BU / program	Current month (Jan 25)					Target	
		Full Month	Target	RR	M-1	MoM	Jan 25	Feb 25
ADO	**Total**	**165,862**	**171,354**	**97%**	**173,640**	**-4.5%**	**171,354**	**179,155**
	Local SIP	121,656	125,361	97%	125,674	-3.2%	125,361	120,716
	CN SIP (excl. TB program)	19,604	18,241	107%	21,154	-7.3%	18,241	19,508
	Direct Selling	5,571	6,372	87%	6,096	-8.6%	6,372	6,116
	LFF cross-selling	2,955	4,258	69%	3,757	-21.4%	4,258	3,545
	Taobao program	16,077	17,122	94%	16,959	-5.2%	17,122	29,270
ADO as % of CB	**Total**	**5.63%**	**6.10%**	**92%**	**5.45%**	**3.2%**	**6.10%**	**6.20%**
ADG	**Total**	**$1,800,356**	**$1,827,910**	**98%**	**$1,864,502**	**-3.4%**	**$1,827,910**	**$1,945,491**
	Local SIP	$1,302,081	1,329,443	98%	$1,338,334	-2.7%	$1,329,443	$1,286,445
	CN SIP (excl. TB program)	$157,926	142,969	110%	$167,395	-5.7%	$142,969	$155,587
	Direct Selling	$76,828	78,981	97%	$78,499	-2.1%	$78,981	$75,841
	LFF cross-selling	$20,575	26,484	78%	$26,441	-22.2%	$26,484	$26,864
	Taobao program	$242,946	250,033	97%	$253,832	-4.3%	$250,033	$400,754
ADG as % of CB	**Total**	**8.16%**	**8.69%**	**94%**	**7.81%**	**4.6%**	**8.69%**	**8.79%**
PC2 (USD) - OKR metrics	**Total**	/	/	/	/	/		
	Local SIP (P+standalone)	3,823	-$7,716	Breakeven	-$1,169	/	-$7,716	-$6,959
	CN SIP (standalone)	-$429	$172	Loss	$1,398	/	$172	$203
PC2 (USD) - combined Shopee view*	**Total**	**$82,614**	/	/	**$73,698**	**12.1%**	/	/
	Local SIP (P+standalone+A)	70,816	/	/	$63,595	11.4%	/	/
	CN SIP (standalone+A)	$9,973	/	/	$10,074	-1.0%	/	/
	Taobao program	$1,825	/	/	$29	6192.4%		

[Topline]

Local SIP: Jan 122k ADO, 97% RR, CB% +0.18pp MoM; missing target mainly due to MY underperforming and VN sellers holiday mode due to CNY

CN SIP: Jan 19.6k ADO, 107% RR, CB% +0.01pp MoM; outperforming mainly due to SG securing additional LPP slots mid-month in Jan

Direct selling (MYSG): Jan 5.6k ADO, 87% RR; missing target as MDEC subsidy ceased and change in FD SOP led to reduced exposure during transition

WH cross-selling: Jan 3k ADO, 69% RR; missing target mainly due to CB Choice LFF (MYSG) 36% RR due to limited number of LFF eligible SKUs (PC3>0, ADIS>1) with SKU # -26% MoM

TB program: Jan 16k ADO, 94% RR; missing target due to direct sellers failing migration SKU#. Next step to push relisting and seller co-investment

[P&L]

Combined PC2 to SHP: daily PC2 $83K, +12% MoM, mainly driven by local SIP P&L improvement

Local SIP: daily P+standalone PC2 breakeven (improved from -$1.2k to $3.8k), mainly driven by marketing spending rationalization and FX gains with stronger MYR/PHP

CN SIP: daily standalone PC2 at -$429, failed to breakeven mainly due to 3-day CN TWS CNY closure leading to unrecognized WHOB revenues against recognized ads cost; in progress of building SOP with CN SLS team to monitor CN TWS / SLS related ops disruptions

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[Topline - top 5 lanes] MYSG, IDPH outperformed target; IDMY, IDSG missed target but CB/platform penetration increased MoM; Feb focus on Raya assortment push in MY and Tet recovery in VN

BU / program	Lane	Jan-25 full-month					SIP as % A platform CB			SIP as % A platform total		
		Jan-25	Target	RR	M-1	MoM	CM (Jan 25)	M-1 (Dec 24)	MoM	CM (Jan 25)	M-1 (Dec 24)	MoM
Local SIP	**Total**	**121,656**	**125,361**	**97%**	**125,674**	**-3%**	**4.12%**	**3.95%**	**+0.2pp**	**0.42%**	**0.41%**	**+0.01pp**
	1. IDMY	41,112	46,663	88%	40,429	2%	10.0%	9.2%	+0.9pp	2.34%	2.20%	+0.13pp
	2. MYSG	23,466	20,169	116%	22,517	4%	13.6%	12.3%	+1.3pp	7.28%	6.55%	+0.73pp
	3. IDPH	20,153	18,619	108%	22,360	-10%	2.3%	2.3%	-0.1pp	0.50%	0.51%	-0.01pp
	4. VNMY	7,697	9,673	80%	9,597	-20%	1.9%	2.2%	-0.3pp	0.44%	0.52%	-0.09pp
	5. IDSG	8,177	8,333	98%	8,420	-3%	4.8%	4.6%	+0.1pp	2.54%	2.45%	+0.09pp
	6. Other lanes	21,051	21,904	96%	22,350	-6%	1.4%	1.4%	+0.0pp	0.09%	0.07%	+0.02pp

[Jan performance]

1. **IDMY:** 88% RR; as % MYCB +0.9pp MoM; as % MY platform +0.13pp MoM; missing target due to (1) platform RR 94%; (2) Raya trend didnt kick in Jan as expected; (3) lower marketing spend efficiency in 2H with platform traffic -20% vs 1H
2. **MYSG:** 116% RR; mainly driven by CNY related assortment push with % SGCB +1.3pp MoM
3. **IDPH:** 108% RR; mainly in line with platform, MoM % PHCB decline with Christmas assortment detrend
4. **VNMY**: 80% RR; missing target due to (1) Tet seller holiday; (2) budget cut for P&L BE; (3) lower free ads support from MY
5. **IDSG:** 98% RR; as % SGCB +0.1pp MoM; as % SG platform +0.09pp MoM; missing target due to ID book shops clean-up and lifestyle assortment detrend

[Feb focus]

1. **IDMY:** Raya push with 1) traffic boost from ads for sourced SKUs and microsite featuring; 2) work with MYCB on co-investment in boosting fashion sales
2. **MYSG/IDSG:** Raya push with 1) leverage SG Raya campaign for traffic boost; 2) $100K free ads secured for Raya related and new SKUs push
3. **VNMY:** Tet recovery with 1) CRM broadcast for sellers back from holiday; 2) ads push for pre-Tet top SKUs; 3) CR boost through order driving vouchers

[BWT] All top 10 local SIP lanes and WH cross-selling lanes outperformed targets in Jan. Feb focus on further optimization of top 5 local SIP lanes (deep-dive in later section)

BU	Lane	January					Target	
		Full Month	Target	RR	M-1	MoM	Jan	Feb
Local SIP / Direct (Top 10 lanes)	IDMY	5.6	7.9	141%	6.0	-0.4	7.9	6.6
	MYSG	3.5	4.0	115%	3.5	0.0	4.0	4.0
	IDPH	6.2	7.5	119%	7.3	-1.0	7.5	6.8
	VNMY	8.0	8.9	111%	8.0	0.1	8.9	8.8
	IDSG	4.8	6.1	128%	5.5	-0.7	6.1	5.0
	VNPH	8.5	9.6	113%	8.7	-0.2	9.6	8.9
	MYPH	8.0	8.1	101%	8.9	-0.9	8.1	7.4
	MYTH	7.8	7.9	101%	7.4	0.4	7.9	7.4
	VNSG	7.4	8.0	108%	6.9	0.5	8.0	7.3
	VNTH	7.4	8.7	118%	7.3	0.1	8.7	8.1
WH cross-selling	MYSG	2.5	2.5	100%	2.3	0.2	2.5	2.5
	VNSG	5.6	8.0	143%	6.1	-0.5	8.0	6.5

[Jan performance]

- **All top local SIP lanes and LFF cross-selling lanes outperformed target**
- **IDMY -0.4 days MoM,** due to 1) recovery of MY terminal capacity to release the cargo faster; 2) operation tightening between LH/CC and LM handover
- **IDPH -1.0 days MoM,** due to 1) recovery of flight capacity from Dec holiday period to mitigate the offload issue; 2) recovery of LM capacity for faster IB receiving and delivery
- **MYTH +0.4 days MoM**, due to full bag return process of DG inspected parcels from the new vendor. Compared to previous vendor, new vendor are not able to do parcel level interception, and required full bag return and re-uplift. This has caused 5%-10% of the parcels to delay for 3 days. In discussion of changing the vendor in mid-Feb if existing vendor continues to be uncooperative
- **VNSG +0.5 days MoM**, due to HCM export issue for the first few days of reopening HCM export. Around 12% of VNSG shipment delayed for 3 days as the shipment need to be diverted to HAN for export. This is an one-time issue

[Feb focus]

- **Feb will focus on** optimizing BWT for top 5 local SIP lanes
  - IDMY/IDSG/IDPH: extend Sunday X-ray operation hours to add an additional wave of OB on Sundays
  - MYSG: start to assess NDD potential for parcels from JB sellers

[Ops] In progress of fixing BI data accuracy issue; CRR actual performance should be close to target except MYSG lane; Feb focus to restore data accuracy and clear MYSG backlog

Metric	BU	January					Target	
		Full Month	Target	RR	M-1	MoM	Jan	Feb
CRR	SIP (local + CN)	77%	90%	86%	78%	-1%	90%	90%
CSAT	SIP (local + CN)	88%	90%	97%	88%	-0%	90%	90%
Return & refund	Local SIP	2.58%			2.56%	+0.02%		

[Jan performance]

- **CRR**: In progress of improving CRR data accuracy as it is not consistent with the local team [ETA 20 Feb]
  - From sample check,
    - SIP CRR for all lanes (except MYSG): ~ 90% (hit target) since no chat pending reply for major top lanes
    - MYSG: behind target due to MY CS lacking manpower

[Feb focus]

- **CRR**: target hit 90% target by 1) fix data accuracy issue with BI; 2) clear MYSG CS backlog (at risk as current MY CS manpower is insufficient to clear all backlog by Feb)

[Product/system] Mostly on track; MYSG SC target launch end-Mar; IDMY SC pending ID biz team review

P	#	Feature Name	Description	Status	Pipeline Submitted	Biz ETA	Go-live ETA	OKR	Key highlights
P0	1	MYSG SC	Facilitate MY Sellers' selling in SG, e.g. listing migration, shop mngmt etc	PRD	Q3-24	Q1-25	**TBC** target 31 Mar	Growth	Mar launch (target)
	2	BR SIP	Support BR as P market and sell to MX/CO/CL	PRD	Jan-25	Q1-25	Feb-25	Growth	Feb launch (confirmed)
	3	SIP regional discount tool (phase 1)	Seller co-invest to drive biz growth, proj ADG uplift $33.5k	PRD	Q3-24	Q4-24	7 Mar	Growth	Mar launch (confirmed)
P1	4	IDMY SC	Facilitate ID Sellers' selling in MY, e.g. listing migration, shop mngmt etc	FRF	**TBC**	Q1-25	TBC	Growth	Provided ID team with Proposal and Mockup. Pending ID team's feedback
	5	SIP support MYSG FBS (FBS x SIP)	Using SIP to migrate listings for MY local and CB FBS to SG to boost ADO	BRD	Dec-24	Q4-24	TBC target 31 Mar	Growth	Pending overall PRD review with marketplace product teams ETA mid-Feb
	6	SIP ads automation tool	System auto select potential SKUs to spend Ads budget	Lived	Q4-24	Jan-25	Lived	Growth	Launch completed
	7	SIP price elasticity tool	System auto adjust A price based on elasticity to max revenue	Prepare proposal	TBC	TBC	TBC	Growth	
	8	Local SIP X Resell	To onboard Local SIP to CB Resell biz model	BRD	Q3-24	Q4-24	TBC	Growth	
	9	Local SIP Settlement Price	Local SIP to mitigate losses incurred from mismatched P and A order prices as a result of price sync related issues	BRD	Q4-24	Q4-24	28 Feb	Cost Reduction	Feb launch (confirmed)
	10	Order snapshot table for CBSIP and Local SIP	Optimize existing order snapshot table for CBSIP and implement for Local SIP; proj P&L efficiency improvement $547k annually	BRD	Q4-24	Q4-24	**TBC**	Cost Reduction	
	11	Update SIP Ashop email address and phone number format	Request from SG legal team to further dummify SIP Ashop email address and phone number to prevent info flow to regulators	BRD	Dec-24	Q2-25	**TBC**	Compliance	

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2. [To update] Key SIP initiatives progress update

[2025 SIP key initiatives] Key growth levers including (1) better pricing & marketing spending; 2) optimize SKU migration effi; 3) expand new biz models (counter TB, scale-up direct selling and WH cross-selling)

Focus	Target (Dec-25)	Pillar	#	Key initiatives		PIC
Grow Topline	• Grow **ADO** by 58% to **215k** (37% for local SIP, 26% for CN SIP, 4.2x for regional programs (Counter Taobao, Direct, WH cross-selling) • Increase **ADO % CB** by 2.0pp to **7.0%** • Increase **SKU effi** by 0.05pp to **0.15%** • Increase **SKU #** by 8% to **125M**	Improve SKU effi	1	Reduce P-market BPSF	2a Update today	Steven
			2	Reduce P-market selling price to SIP	2b Update today	Zhang Yu
			3	Reduce CB SLS / A-market SPSF	2c Update today	Qiang Wei
			4	Optimize ads PC2 with ads optimization automation tool	3a Discuss today	Zhang Yu
			5	Optimize rebate spending based on price elasticity		Zhang Yu
			6	Drive GR/PR efforts to secure government funding		Zhang Yu
			7	Drive co-investment with P-/A-market platform		Zhang Yu
		Grow SKU	8	Review seller onboarding/offboarding criteria		Qiang Wei
			9	Maximize SKU migration efficiency with SIP system/ops improvement		Qiang Wei
			10	Revive non-performing SKUs after each price reduction		Qiang Wei
Reduce BWT	• Reduce **BWT** of top 5 lanes by 12% to **5.3 days**	Reduce BWT	11	Optimize BWT for top 5 local SIP lanes	3b Discuss today	Qiang Wei
			12	Optimize BWT for all WH x SIP lanes		Qiang Wei
Healthy P&L	• P+SA breakeven	P+SA breakeven	13	Formalize P+SA combined reporting [completed]		Jayne
Build SHP assortment /network advantage	• **Onboard competitor SKUs** to SHP via Direct/SIP • **Launch new lanes** and **biz models** on time	Counter competitor	13	Counter Taobao	3c Discuss today	Nicholas
		Expand SIP network	14	Launch BRSIP		Nicholas
		Expand regional cross-selling	15	Scale up Direct selling regionally	3d Discuss today	Jill
			16	Launch FBS x SIP products to unlock WH assortment		Jill

2a [BPSF reduction] Recap context: SIP is charged normal BPSF for its local order in P-market; however, the actual service received is much simpler/cheaper vs a local buyer

Logistics flow of a local order in P-market

Pick up from local seller — FM to SPX SOC — SOC processing

Last-mile service differs btw local and SIP orders

		Charge rate
Local buyer order	**Individual** parcel delivery to local buyer	**Standard local BPSF**
SIP order	**Consolidated** parcel delivery to SIP TWS via trucking	**Standard local BPSF**

Highlights

- SIP is charged the same BPSF as a local buyer, although the “last-mile” service limited to direct-trucking from SOC to TWS
- In 2024, ID/VN MP recognized the “overcharge”, and passed BPSF profit back to SIP to boost ADO
- From Jan 2025, we are no longer able to do offline profit passback on BPSF, due to the (1) combined SIP and P-market P&L booking directed by FPC; and (2) direction for P&L to breakeven
- Alternative solution: to align with each P-market on a “fair” BPSF for SIP orders, and formalize in the system

2a [BPSF reduction] For MY, target to implement RM 3.47 reduction by Feb after approval; estimated ~3k ADO uplift to be realized from Mar-25; for ID, target to reach directional alignment with Christin by mid-Feb

We're here

	Project week	1	2	3	4	5	6	7	8	9	10	11	12
	Month	Jan					Feb			Mar			
	Week starting	6	13	20	27	3	10	17	24	3	10	17	24
1	MYSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
	VNSIP												
	No actions required, as already charged fair P BPSF												
2	IDSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
	THSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
	PHSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
	TWSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
	SGSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												
3	BRSIP												
	Assess reduction potential												
	Align new BPSF rate card with local FP&A												
	Implement new rate card by local logistics ops												

Highlights:

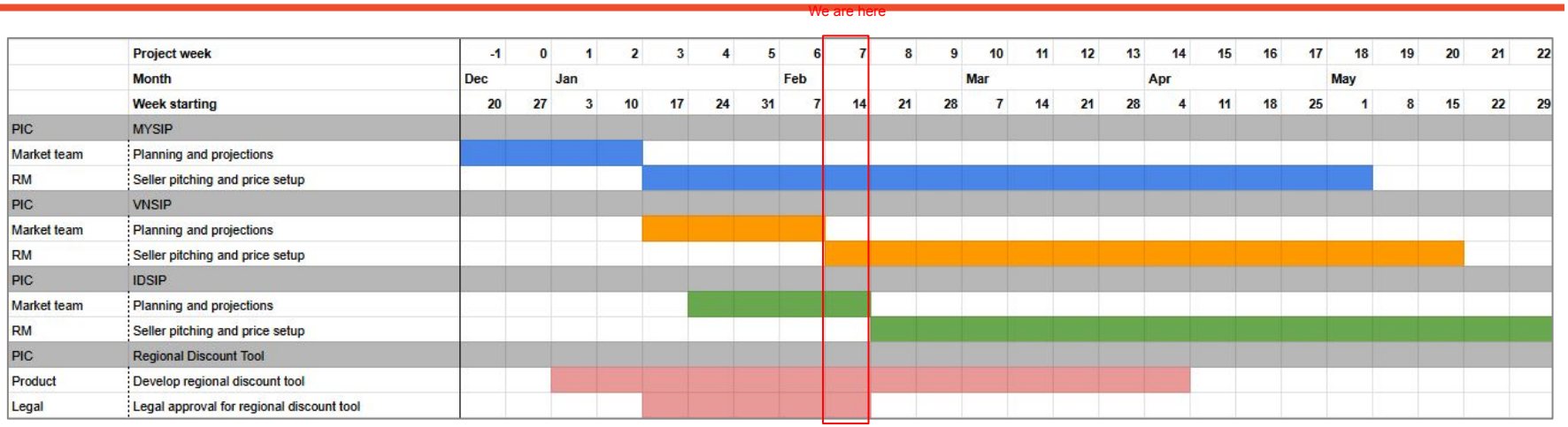
1. **MYSIP** (on-track): target to reduce P BPSF by RM 3.47 with incremental ADO 3K and net neutral P&L on shopee level; upon lan approval, next step for MY logs to configure the new BPSF rate card for SIP [ETA: 17 Feb]

2. **IDSIP** (potential blockers): pushback from ID FP&A due to potential negative impact (550K per month according to $0.36/order true cost) to ID P&L; next step to bring up in ID export plan to reach directional alignment with Christin [ETA: 14 Feb]

3. **BRSIP** (on-track): reached directional alignment of charging 'fair' BPSF for SIP; next step for BR FP&A to finalise new BPSF rate card and SIP P&L to start pricing [ETA 17 Feb]

- **Other P markets** (on-track): overall target to finish alignment and implementation by end Mar-25

2b [P-market selling price reduction] MY 1:1 seller pitching on track; ID/VN to start pitching by mid-Feb. Regional discount tool for mass discount pending full feature development, ETA pending



Highlights

RM-led pitching to managed sellers

- **MYSIP** (on-track): SMT 1:1 pitching in progress (see next slide). Next steps: conduct price set-up for accepted sellers [ETA: 14 Feb]
- **IDSIP** (on-track): Finalizing pitching plan and incentive package with ID SMT. Next steps: SMT to draft pitching deck [ETA: 14 Feb]
- **VNSIP** (on-track): Finalizing pitching plan and incentive package with VN SMT. Next steps: SMT to draft pitching deck [ETA: 14 Feb]

Mass discount with regional discount tool (Phase 2 needed)**:** full roll-out delayed as we are requesting additional features for maximum ADO uplift. [ETA: pending]

- **Current features (phase 1, launch in Mar-24)**: seller to set discount, discount % based on listing price; no lock-in period (can change anytime)
- **Needed additional features (phase 2, pending)**: SIP team to set discount, discount % based on selling price; add lock-in period
- **Implications:** 1) mass discount will be delayed till the phase 2 tool is in place; 2) interim manual operations to set up price change in system for RM-pitched discounts

2b [P-market selling price reduction] MY progress: 13/848 (3%) sellers accepted 20% price reduction, covering 1.2% of MYSG ADO; next-step to pitch the rest for 10% price reduction

Pitching design

- MYSIP price reduction potential: **~15%**
- 2 incentive package tiers for sellers: **Tier 1 – 20% reduction; Tier 2 – 10% reduction**
- **Target pitching pool for Jan: 848 MYSIP sellers (top 50% MYSIP ADO)**

Pitching approach

- Step 1: Pitch all 848 sellers for Tier 1 package (20% discount)
- Step 2: For those rejected/unresponsive to Tier 1 pitching, repitch with Tier 2 package (10% discount)

Pitching approach	% price reduction	Target acceptance rate	Current Status	Pitching outcome
Step 1	20%	5%	Completed [7 Feb]	2.7% accepted
Step 2	10%	45%	Ongoing [Start: 7 Feb]	TBC

MYSIP step 1 pitching outcome (20% price reduction package)

		# sellers	% sellers	Remarks
Target pitching pool	Total	848	100%	50% MYSIP ADO coverage
Pitching status	Pitched	848	100%	Email sent to all 848 sellers; 1:1 RM-led pitching to 483 sellers (57%)
	Pending pitch	0	-	
Pitching outcome	Accepted	13	3%	**Next steps**: set up price sync for 13 accepted sellers with 20% price reduction on CMT portal [ETA 7 Feb]
	Rejected 1st attempt	118	24%	**Rejection reasons**: 1) Low margin: MY platform commission + service fees already quite high at 15-20%; 2) 20% reduction too aggressive **Next steps**: Re-pitch 10% discount tier and monitor acceptance rate [ETA start: 7 Feb]
	Pending response	352	73%	**Pending reasons: 1)** unable to connect with sellers; 2) sellers still considering **Next-steps:** 1) re-pitch 10% discount tier and monitor acceptance rate [ETA: 7 Feb]; 2) try WhatsApp chat to connect with sellers

2b [P-market selling price reduction] VN/ID assessment: price reduction potential ~20% for VNSIP and ~10% for IDSIP; next step to use the same pitching design and approach as MYSIP

Local pricing breakdown

Selling price components	Description	MYSIP		VNSIP		IDSIP	
		MY Local	% of MY selling Price	VN Local	% of VN selling Price	ID Local	% of ID selling Price
Average selling price per item		**$4.54**	**100%**	**$7.59**	**100%**	**$6.37**	**100%**
…Seller COGS + profit		$3.88	85%	$6.01	79%	$5.74	90%
…Local OPEX*	RR cost and COD failure	**$0.16**	**4%**	**$1.25**	**17%**	**$0.45**	**7%**
…Local marketing*	Seller voucher, ads spending, shipping rebates	**$0.50**	**11%**	**$0.32**	**4%**	**$0.18**	**3%**
			~15%		**~20%**		**~10%**

Price Reduction components

** Key assumptions:*
1) *Local OPEX estimated based on marketplace avg RR cost % over GMV*
2) *Local marketing estimated based on marketplace average ads & voucher & shipping rebate cost % over GMV*

Highlights

- Local sellers hide **local OPEX and marketing cost (~10-20% markup)** in the BAU selling price. However, these costs do not incur to sellers for SIP orders as 1) SIP absorbs RR cost; 2) SIP bears marketing cost in A-markets where orders are generated
- Plan to push/incentivize sellers to reduce their selling price for SIP orders; which will remove the unnecessary seller mark-up to improve price competitiveness of SIP SKUs

2b [P-market selling price reduction] Impact: proj. ~13k ADO uplift across MY/VN/ID SIP lanes by Dec-25, contingent on 1) RM pitching from Jan-May; and 2) regional discount tool launch for all sellers by Mar-25

MYSG	Metric	Jan 25	Feb 25	Mar 25	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25
1:1 RM pitching	**Monthly ADO uplift**	**0**	**904**	**1,358**	**1,596**	**1,835**	**1,857**	**1,906**	**1,989**	**2,059**	**2,124**	**2,171**	**2,249**
	…Top shops pitched (accumulative)	300	800	1300	1800	-	-	-	-	-	-	-	-
	…MYSG SIP ADO coverage (accumulative)	5,640	8,345	9,860	10,884	-	-	-	-	-	-	-	-
Regional Discount 5%	**Monthly ADO uplift**	**-**	**-**	**-**	**949**	**893**	**899**	**859**	**869**	**892**	**931**	**964**	**994**
	Total ADO uplift	**0**	**904**	**1358**	**2545**	**2728**	**2756**	**2765**	**2858**	**2951**	**3055**	**3135**	**3243**

VNSIP	Metric	Jan 25	Feb 25	Mar 25	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25
1:1 RM pitching	**Monthly ADO uplift**	**-**	**0**	**816**	**1,043**	**1,270**	**1,370**	**1,403**	**1,435**	**1,472**	**1,529**	**1,578**	**1,706**
	…Top shops pitched (accumulative)	-	150	300	450	-	-	-	-	-	-	-	-
	…VN SIP ADO coverage (accumulative)	-	6,091	7,802	8,799	-	-	-	-	-	-	-	-
Regional Discount 5%	**Monthly ADO uplift**	**-**	**-**	**-**	**811**	**779**	**844**	**767**	**828**	**848**	**867**	**889**	**924**
	Total ADO uplift	**-**	**0**	**816**	**1854**	**2049**	**2214**	**2170**	**2263**	**2320**	**2396**	**2467**	**2630**

IDSIP	Metric	Jan 25	Feb 25	Mar 25	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25
1:1 RM pitching	**Monthly ADO uplift**	**-**	**0**	**1,524**	**2,313**	**2,729**	**3,145**	**3,800**	**3,955**	**4,036**	**4,119**	**4,259**	**4,353**
	…Top shops pitched (accumulative)	-	300	830	1360	1900	-	-	-	-	-	-	-
	…ID SIP ADO coverage (accumulative)	-	18,805	28,284	33,473	37,135	-	-	-	-	-	-	-
Regional Discount 5%	**Monthly ADO uplift**	**-**	**-**	**-**	**2,293**	**2,388**	**2,461**	**2,100**	**2,537**	**2,641**	**2,694**	**2,750**	**2,843**
	Total ADO uplift	**-**	**0**	**1524**	**4606**	**5117**	**5606**	**5900**	**6492**	**6677**	**6813**	**7009**	**7196**

Total ADO uplift for all markets	**-**	**904**	**3698**	**9005**	**9894**	**10576**	**10835**	**11613**	**11948**	**12264**	**12611**	**13069**

2c [SLS Rate Reduction] Expecting 5.9K ADO uplift from SLS rate reduction with uplift impact from mid Feb onwards after price-sync completion

Lane	ASF		ADO impact	
	Change (USD)	Change (%)	ADO%	ADO change
1 IDPH	-$0.53	-21.0%	12.6%	2,533
IDMY	-$0.12	-7.5%	3.4%	1,384
VNMY	-$0.56	-24.9%	18.0%	1,382
VNPH	-$0.41	-14.9%	13.5%	287
MYSG	-$0.15	-7.3%	1.0%	217
MYPH	-$0.75	-26.5%	4.6%	134
IDTH	-$0.17	-7.3%	3.4%	92
IDSG	-$0.06	-2.9%	0.8%	62
THPH	-$0.09	-3.6%	2.2%	54
PHSG	-$0.56	-14.8%	6.8%	52
VNSG	-$0.30	-10.9%	1.7%	40
MYTH	-$0.30	-12.1%	5.3%	30
PHMY	-$0.09	-3.5%	3.2%	20
VNTW	-$0.56	-14.2%	5.6%	17
THSG	-$0.21	-6.5%	1.5%	13
TWSG	-$0.48	-13.6%	2.0%	8
SGMY	-$0.96	-21.1%	0.1%	0
SGTH	-$0.91	-18.5%	0.2%	0
2 IDTW	$0.68	19.5%	-9.1%	-29
IDCO	$2.56	43.1%	-48.4%	-61
IDBR	$1.95	36.4%	-60.0%	-344
Total			6.0%	5,904

[Key Highlights]

- SIP SLS commercial team completed half-yearly contract review and renegotiation in Jan-25, achieved ASF reduction in 18/21 SIP lanes
- **Overall ADO uplift 5.9K; +6.0% increase referencing to Jan ADO baseline**

1 **18/21 lanes achieved ASF reduction, with +6.3k ADO uplift**
  - Highest uplift from IDPH with -21% ASF reduction and 2.5K ADO uplift
  - IDMY -7.5% ASF reduction with 1.4K ADO increase due to larger base
  - VNMY -25% ASF reduction with 1.4K ADO uplift

2 **3/21 lanes increased ASF, with -437 ADO impact**
  - ID-TW/CO/BR lane drastic ASF increase due to SLS P&L loss, expect more than half ADO decline; overall ADO size to drop to <500

- **Next step**
  - Complete price sync with new ASF by mid-Feb
  - Monitor actual ADO uplift after mid-Feb
  - Assess SKU revival for top 3 lanes [ETA revival: end-Feb]

3. [To discuss] Key SIP initiative proposals for review

3a. SIP ads optimization plan

[Context] SIP ads budget allocation is comparable to other CB sellers; ads spending can be improved by 1) investing in new SKUs with close adjustment; 2) releasing budget from old SKUs to fund new SKU investment

Table 1: SIP Key Markets Ads Performance - budget amount is under control but spending approach can be better

A Market	Ads ADO coverage		Ads CIR ((Ads Spending/Total GMV)		Ads CPO		Ads ROI	
	SIP	Other CB	SIP	Other CB	SIP	Other CB	SIP	Other CB
SG	20%	22%	4.5%	4.7%	$2.7	$2.7	3.5	5.4
MY	22%	31%	3.5%	4.4%	$1.5	$1.3	5.7	6.8
PH	33%	36%	3.6%	4.0%	$1.0	$0.7	7.7	8.9
TH	21%	28%	6.6%	12.8%	$2.2	$1.0	3.2	7.4

Ads ADO coverage and Ads CIR are consistently lower than other CB sellers in key markets, indicating that total ads budget amount for SIP is reasonable and under control

However, Ads CPO and Ads ROI consistently worse than other CB sellers in key markets, indicating room to improve the efficiency of ads spending; mainly due to 1) fewer brand/mall SKUs in SIP; 2) less frequency and manpower for ads management on SKU level and daily basis

We plan to take 4 actions to revamp the SIP ads spending approach from Feb-25

	#	From	To
New ads SKU (not on ads, or on ads < 3 months)	1	**No budget for new SKUs**, they are expected to generate ADO organically before SIP invests ads	Differentiate the management of new skus and old skus, **reserve specific budget for new SKUs, starting with 10% in M1**, increasing MoM with savings from old SKUs
	2	Adjust ads spending per SKU **once a month**	**Adjust ads spending per SKU once every 5 days per cycle x 6 cycles** to reach steady state
Old ads SKU (on ads for 3 months and above)	3	Performing SKUs will be kept **on ads all-the-time**, regardless of their PC2 status	**Remove ads spending on PC2-ve SKUs**, reinvest savings to new SKUs
	4		**Reduce ads spending on PC2+ve SKUs**, as long as the ADO can be maintained with lower spending, reinvest savings to new SKUs

[New ads spending approach overview] New ads SKUs will go through all 3 phases over 4 months; existing old ads SKUs will be put to Phase 3 directly for spending reduction/removal

Entry point of New Ads SKUs [4 months journey]
(newly migrated SKUs, newly revived SKUs, SKUs that have not been on ads or less than 3 months)

Entry point of Existing Old Ads SKUs [1 month journey]
(existing SKUs on ads for 3 months and above)

	Phase 1: Incubate >>>	Phase 2: Stabilize >>>	Phase 3: Graduate
Duration	1st month	2nd - 3rd months*	4th month
Objective	• Invest ads on new SKUs to increase their exposure, build reviews and sold count • Adjust ads to optimal level for new SKUs to allow best SKUs to stand out quickly	• Give new SKUs time to build up reviews, sold count, and start organic growth, while maintaining the exposure level	• Remove/reduce ads spending on old SKUs to fund the next batches of new SKU incubation
Approach	• Prioritize high potential new SKUs: 1) new SKUs in performing shops; 2) unique SKUs • Start with min daily ads budget for each SKU, adjust spending up/down every 5 days x 6 cycles based on ads ROI, until steady-state • Drop the SKUs with no orders after first 5 days	• Maintain same budget for SKUs coming out from Phase 1; no adjustment	• PC2+ve SKUs: Try to reduce ads spending as long as ADO can be maintained • PC2-ve SKUs: Reduce ads spending to break-even amount, eventually remove the ads spend completely if the SKUs cannot break-even within this phase
Decision metrics	• ADO (for keep/drop decision) • Ads ROI (for spending titration)	• Nil (no decision for this phase)	• SKU PC2 (for keep/drop decision) • Ads ROI (for spending reduction)
Budget	Start with 10%, adding MoM with savings from Phase 3		90%, dropping MoM with ads spending cuts

*previous studies for both local SIP and CNSIP indicated that new SKU growth potential reached a steady state ~3 months, proving that 3 months is a good time frame for Phase 1+2 combined

Budget saved from each batch of SKUs in Phase 3 to be added to Phase 1 budget every month

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[Phase 1: Incubate] Pilot showed that 1) frequent adjustment of ads budgets is effective in boosting both topline and ads ROI for new SKUs

Incubation Stage: Pilot approach proven to be effective: topline +58%, CPO -59%, ROI +139%

Metrics	Baseline	1st cycle (5-days)	2nd cycle (5-days)	3rd cycle (5-days)	3rd vs 1st
Ads ADO	0	77	117	108	+40%
Ads Expenditure	$0	$313	$313	$180	-43%
Ads CPO	-	$4.1	$2.7	$1.7	-59%
Ads ROI	-	1.9	3.0	4.5	+139%
Survival rate	-	34%	30%	25%	-

Approach

- Sample: 300 new SKUs (SKUs not on ads) from IDMY lane
- Start with minimal ads budget of 4RM, **titrate ads budget per SKU every 5 days x 3 cycles**: 1) if ROI>threshold, then increase budget by 2-4 times; 2) if ROI<threshold, then half budget; 3) If no orders, remove ads

Outcome (Refer to summary table)

- Frequent adjustment is proven to be effective: after 3 cycles of 5-day titration, gross ADO +58%, broad ads ADO +40%; ads expenditure -43%, ads CPO -59%, ads ROI +139%
- ~25% new SKUs generated orders in this phase

Next-steps

- Prepare new SKUs pool for **scale up in IDMY by batches**.
- Gather data from larger pool, then scale up to other lanes

[Phase 3: Graduate] Pilot showed that reducing/removing ads spending on old SKUs is effective in driving up ads ROI and leading to spending saving

Graduation Stage: Pilot outcome: Decrease ads investment help improve PC2% and ads ROI

Metrics	Baseline	Pilot (7 days x 3 cycle)	3rd cycle vs baseline
Ads ADO	966	932	-3%
Gross ADO	1,635	1,647	+1%
PC2%	-1.9%	-0.9%	+1pp
PC2 ($)	-$124	-$51	+$73
Ads ROI	12.5	14.5	+15%
Ads Expenditure ($)	$386	$302	-22%

Approach

- 300 old SKUs (SKUs on ads for at least 3 months) from IDMY
- **Reduce ads investment gradually every 7 days x 3 cycles**: 1) if SKU PC2+ve, then ramp down ads budget by half; 2) if SKU PC-ve, then ramp down budget to breakeven level

Outcome (Refer to summary table)

- Ads budget reduction is effective in driving up ads ROI, and spending saving

Next-steps

- Graduate old skus batch by batch to save budget for new sku push [First batch ETA: 14 Feb]
- Create system feature to automate old SKU ads optimization [ETA: EOM Mar]

[Projection: IDMY] Plan to incubate 4K-9K new SKU each month from Feb onwards, growing ads SKU by 54% to 25k, ads ADO by 13% to 14.5k, with an improvement in Ads ROI from $5.9 to $6.3 by Jun-25

IDMY	Metrics	Jan	Feb	Mar	Apr	May	Jun
Ads SKUs	**Total**	**15,906**	**20,044**	**21,644**	**22,494**	**23,344**	**24,544**
	Incubate + Stabilize	462	4,000	6,000	7,250	7,500	7,500
	Graduation	15,444	16,044	15,644	15,244	15,844	17,044
Gross ADO	**Total**	2 **12,800**	**12,762**	**13,031**	**13,498**	**13,818**	2 **14,496**
	Incubate + Stabilize	74	540	1,320	2,295	2,490	2,490
	Graduation	12,727	12,222	11,711	11,203	11,328	12,006
Daily Ads Expenditure ($USD)	**Total**	**$13,971**	**$14,721**	**$14,343**	**$13,664**	**$13,753**	**$14,562**
	Incubate + Stabilize	$118	$1,600	$2,400	$2,900	$3,000	$3,000
	Graduation	2b $13,853	$13,121	$11,943	$10,764	$10,753	2b $11,562
Ads Expenditure Mix%	**Total**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
	Incubate + Stabilize	2a 1%	11%	17%	21%	22%	21%
	Graduation	99%	89%	83%	79%	78%	79%
Ads ROI	**Total**	3 **$5.9**	**$5.6**	**$5.8**	**$6.2**	**$6.3**	3 **$6.3**
	Incubate + Stabilize	$2.4	$1.8	$3.0	$4.3	$4.5	$4.5
	Graduation	$5.9	$6.0	$6.4	$6.8	$6.9	$6.8
Ads CPO	**Total**	**$1.3**	**$1.3**	**$1.3**	**$1.2**	**$1.1**	**$1.1**
	Incubate + Stabilize	$2.3	$3.0	$1.8	$1.3	$1.2	$1.2
	Graduation	$1.3	$1.3	$1.2	$1.1	$1.1	$1.1

Highlights

- **Context:** Based on IDMY Jan'25 actual performance, 15.9K skus running on ads and generated 12.8K ADO. Only 3% skus are new skus (created after Dec'24) with 1% of total ads spending (due to free credits pause)

2 **Plan:** Target to grow ads SKUs from 15.9K to 25.4K and ADO from 12.8K to 14.5K by Jun with similar level of ads expenditure

- 2a **Incubate + Stabilize:** budget grow from 1% to ~20% by Jun. (Plan to grow budget gradually to gather more data when scale up)
- 2b **Graduate:** reduce ads spending by ~$2.3K per day by Jun to incubate new SKUs

3 Target to grow Ads ROI from 5.9 to 6.3 by Jun

3b. SIP SLS 2025 Plan

[SIP SLS 2025 target] To shorten top 5 lanes BWT by 0.7 days (-12%) to 5.3 days by Dec-25

	2024 Actual				2025 Target				Dec-25 vs. Dec-24
	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	
Total (top 5 lanes)	**7.2**	**6.5**	**6.1**	**6.0**	**6.2**	**5.6**	**5.3**	**5.3**	**-12%**
IDMY	7.6	6.5	5.9	6.0	6.4	5.7	5.4	5.3	**-12%**
MYSG	4.7	4.6	3.9	3.7	4.0	3.7	3.2	3.2	**-14%**
IDPH	7.4	7.4	6.8	7.3	7.0	6.5	6.3	6.6	**-10%**
VNMY	11.0	8.8	10.4	8.0	8.0	7.1	6.9	6.9	**-14%**
IDSG	5.9	5.2	4.8	5.5	5.4	4.8	4.6	4.5	**-18%**

Overall top 5 lanes BWT to shorten by 12% to 5.3 days by Dec-25

- **IDMY to shorten by 12% to 5.3 days**: 1) optimize FM network to reduce FM LT; 2) minimize TWS process to shorten WHS LT; 3) onboard EM 6DD service to reduce EM LH+LM LT
- **MYSG to shorten by 14% to 3.2 days**: 1) launch one-AWB (completed); 2) onboard FM NDD/2DD service; 3) explore JB-SG NDD
- **IDPH to shorten by 10% to 6.6 days**: 1) optimize FM network; 2) minimize TWS process
- **VNMY to shorten by 14% to 6.9 days**: 1) minimize TWS process; 2) onboard CB 5DD channel
- **IDSG to shorten by 18% to 4.5 days**: 1) optimize FM network; (2) minimize TWS process

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[SIP SLS 2025 focus] 1) align with CB & local logs key initiatives; 2) optimize FM network with ID/VN/MY SPX; 3) launch 1-AWB and semi-automate TWS; 4) tighten LH; 5) launch CP/locker for LM

	Top 5 lanes impact	Optimization lever	Roll-out ETA					
			IDMY	MYSG	IDPH	VNMY	IDSG	
Overall	• -	• **Enable XDD to 1) ID-MY EM, 2) ID-PH Luzon, 3) VN-MY WM**; align with CB direction to grow "express and guaranteed delivery" service	Q2	Done	Q2	Q3	Done	
FM	• IDSIP FM LT -0.3 days • MYSIP FM LT -0.1 days • VNSIP FM LT -0..3 days	1 **Optimize FM routes with ID/VN/MY SPX**	Q2	Q1	Q2	Q3	Q2	Deep-dive
		• **Leverage P market local logistics BWT improvement, ex: Enable NDD/2DD channel for SIP P-order**	Q3	Q2	Q3	Q4	Q3	
TWS	• ID TWS LT -0.1 days • MY TWS LT -0.1 days • VN TWS LT -0.1 days	2 **Launch 1-AWB to minimize TWS ops**	Q3	Done	Q3	Q4	Q3	Deep-dive
		2 **Semi-automate TWS**	Q2	--	Q2	Q4	Q2	
LH	• IDMY LH LT -0.2 days • VNMY LH LT -0.5 days • IDSG LH LT -0.4 days	3 **Explore direct flight routes**	Q2	--	Q2	Q3	Q2	
		3 **Tighten LH handover schedule**	Q1	Q1	Q2	Q2	Q1	Deep-dive
LM	• MY LM LT -0.2 days • PH LM LT -0.1 days • SG LM LT remains at 1 day	• **Launch CP/locker channel**; align with A market strategies	Q1	Q4	Q4	Q4	Q4	

1. *MYSG not applicable for semi-automate TWS as the process has been optimized via 1-AWB project*
2. *MYSG is using land transport, not applicable for air freight solution*

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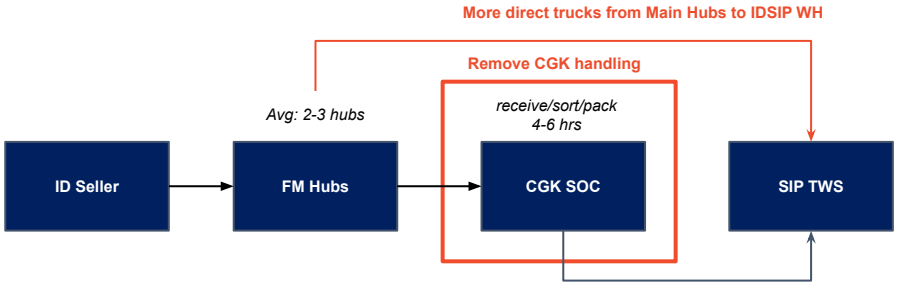
[Optimize FM network] ID example: propose to 1) remove CGK SOC handling, 2) explore additional TWS in Surabaya area; to reduce first-mile lead time by 0.5 days

Proposal 1: Reduce stops in SPX first-mile network

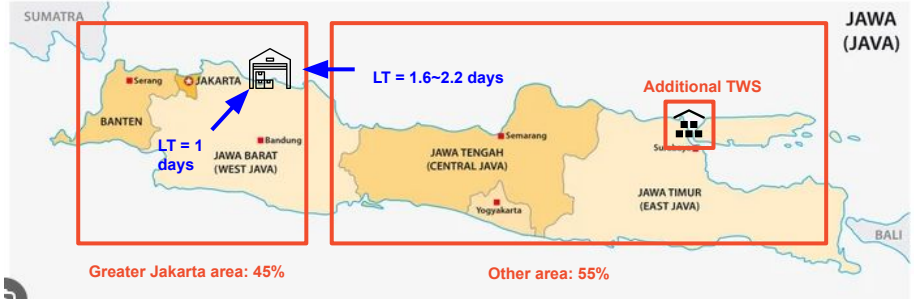
Background	• SIP parcels are sent to CGK SOC (same facility as SIP TWS) first for sorting, then truck to SIP TWS every 2-3 hrs • CGK SOC takes 4-6 hrs to sort the parcels • Loading/unloading takes ~2hrs in CGK SOC and SIP TWS
Proposed Solution	• Remove CGK SOC handling • Increase direct trucks from main hubs to SIP TWS
Expected LT Saving	• 0.2 days



- location in the same facility, use truck to handover every 2-3hrs
- loading+unloading time takes around 2hrs

Proposal 2: Set up additional TWS in Central Java or Surabayah area

Background	• 45% SIP parcels are from sellers in Greater Jakarta area, first-mile lead time ~1.0 day • 55% SIP parcels are from sellers outside Greater Jakarta area, first-mile lead time 1.6~2.2 days
Proposed Solution	• Explore additional TWS in Central Java or Surbayah area
Expected LT Saving	• 0.3 days

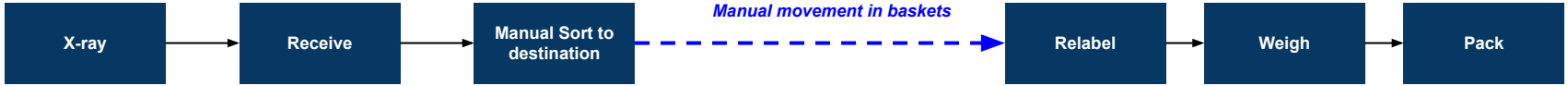


Next step:
to analyze the impact to Linehaul cost, and propose to ID team for evaluation. ETA: end Feb

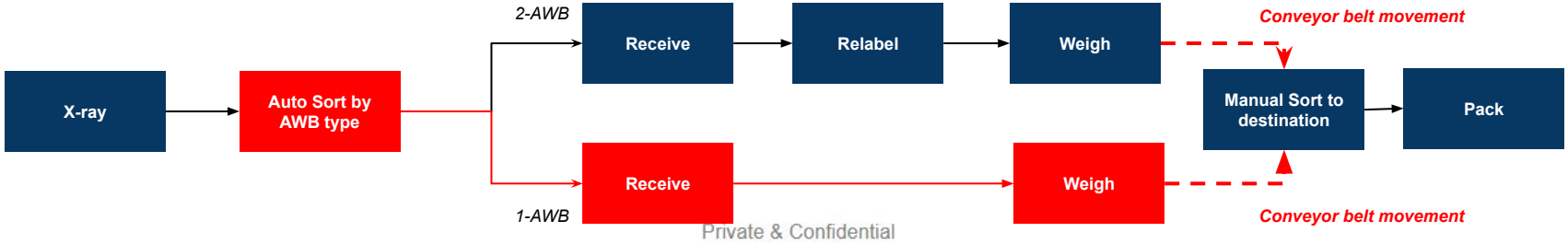
[Launch one-AWB and semi-automate TWS] ID example: propose to 1) launch one-AWB to remove relabeling, 2) install conveyor belt to reduce manual movement; to reduce TWS lead time by 0.1 days

Background	• Currently all IDSIP orders use 2-AWB, to be relabeled ID TWS to change local AWB to CB AWB • Relabeling process takes up the majority of time and space in TWS; launch of 1-AWB channel will remove relabeling process • However, only parcels handled by SPX for both FM and LM can use 1-AWB; orders handled by 3PL for FM and/or LM cannot use 1-AWB • SIP TWS need extra sorting to differentiate parcels on 1-AWB vs 2-AWB
Proposed Solution	• Launch 2-AWB channel and whitelist parcels handled by SPX for both FM and LM to 1-AWB • Use auto-sorting machine to sort out 1-AWB / 2-AWB parcels • Use conveyor belt to replace manual movement to reduce the waiting/moving time
Expected LT Saving	• 0.1 days ○ Current WHS LT = 0.3 day >> Mixture of 1-AWB/2-AWB flow in manual: 0.5 days >> Mixture of 1-AWB/2-AWB flow in automation: 0.2 days

Current: 2-AWB Flow



To-Be Flow: Mixture of 1-AWB/2-AWB Flow, Semi-auto



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3 [Explore direct flights] Assess direct flight for high volume destinations to reduce linehaul lead time

Lane	IDMY	VNMY	
Initiative	**Explore direct flight from ID to MY JB**	**SGN-KUL Direct Flight**	**SGN-BKI Direct Flight**
Existing route (Origin - Transit - Destination)	**ID Jakarta - MY KL - MY JB**	**VN HCM - MY PENANNG - MY KL**	**VN HCM - MY KL - MY Sabah**
Proposed route (Origin - Destination)	**ID Jakarta- MY JB**	**VN HCM - MY KL**	**VN HCM - MY Sabah**
Estimated E2E lead time impact	- 0.1 days	-0.4 days	-0.1 days
Estimated Volume	8k ADO 20% of IDMY orders	3.2k ADO 40% of VNMY orders	0.3k ADO 4% of VNMY orders
Potential Blocker / Challenge	• Potential higher air freight rates due to fewer airlines on the proposed route • Risk of longer lead time as limited JB customs hours may miss SPX NDD cutoff	• Potential capacity constraint: only two flights available to meet SPX NDD cutoff • Lower HCM customs operations efficiency	• Potential risk of offloading during peak and holiday seasons due to inconsistent space availability from the vendor.
Target Rollout Time	Jun 25	Jun 25	Feb 25

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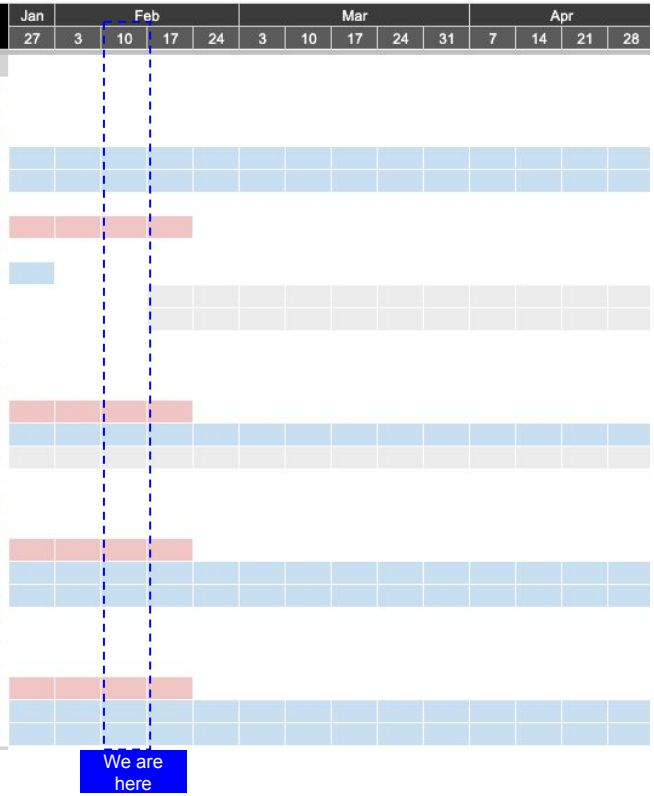
4. [To discuss] Regional special projects updates for review

4a. Counter Taobao Fashion

[Progress] Marketing push started in all markets; SKU migration to complete by end Feb after sellers back from CNY

#	Market	Task	Dependency	PIC	Status
a. Phase 1/2 (Pushing existing TB SHP sellers)					
1.1	SG/MY	Seller Identification		SMT	Completed
1.2		Marketing resource alignment		PMO/Local	Completed
1.3		Pitching	1.1/1.2	SMT/SIP	Completed
1.4		Marketing push	1.3	PMO/Local	In Progress
1.5		Performance Tracking		PMO/Local	In Progress
1.6		Additional sellers pitching		SMT	Completed
1.7		SKU Migration		SMT	Delayed
2.1	PH	Seller Identification		SMT	Completed
2.2		Marketing resource alignment		PMO/Local	In Progress
2.3		Marketing push	2.2	Local	To start
2.4		Performance Tracking		PMO/Local	To start
3.1	TH	Seller Identification		SMT	Completed
3.2		Marketing resource alignment		PMO/Local	Completed
3.3		Pitching	3.1/3.2	SMT/SIP	Completed
3.4		SKU Migration	3.3	SMT/PMO	Delayed
3.5		Marketing push	3.3	PMO/Local	In Progress
3.6		Performance Tracking		PMO/Local	To start
4.1	TW	Seller Identification		SMT	Completed
4.2		Marketing resource alignment		PMO/Local	Completed
4.3		Pitching	4.1/4.2	SMT/SIP	Completed
4.4		SKU Migration	4.3	SMT/PMO	Delayed
4.5		Marketing push	4.3	PMO/Local	In Progress
4.6		Performance Tracking		PMO/Local	In Progress
5.1	VN	Seller Identification		SMT	Completed
5.2		Marketing resource alignment		PMO/Local	Completed
5.3		Pitching	5.1/5.2	SMT/SIP	Completed
5.4		SKU Migration	5.3	SMT/PMO	Delayed
5.5		Marketing push	5.3	PMO/Local	In Progress
5.6		Performance Tracking		PMO/Local	In Progress



Highlights

- **Marketing push for all markets begun:** Performance tracking to be shown in later slides
- **SKU Migration**: To push when sellers are back from holiday (target completion end Feb)

[Performance] Reg MTD ADO 27.9k; ADG $353k; ADO missing target mainly due to SKU migration slower than expected

Table: Overall regional performance for TB sellers that joined program

	Program Total	SG				MY				TW				PH				TH				VN			
	MTD	MTD	Target	RR	MOM	MTD	Target	RR	MOM	MTD	Target	RR	MOM	MTD	Target	RR	MOM	MTD	Target	RR	MOM	MTD	Target	RR	MOM
All sellers																									
Universe Seller	164	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/	/
Program Seller	/	86	/	/	18%	89	/	/	17%	22	/	/	0%	137	/	/	0%	58	/	/	0%	53	/	/	0%
Program Shop																									
ADO	27,865	505	941	54%	15%	2,357	3,658	64%	-17%	223	260	86%	18%	13,469	0	-	43%	5,894	6,465	91%	18%	5,417	6,179	88%	-1%
ADG	353,647	9,555	17,697	54%	23%	36,487	38,690	94%	-3%	5,861	5,915	99%	30%	160,594	0	-	69%	84,712	65,381	130%	49%	56,437	58,071	97%	9%
ABS	$12.69	$18.92	$18.81	101%	6%	$15.48	$10.58	146%	17%	$26.24	$22.75	115%	10%	$11.92	-	-	17%	$14.37	$10.11	142%	26%	$10.42	$9.40	111%	10%
Live SKU	474,872	77,651	90,470	86%	17%	88,880	94,083	94%	10%	14,867	32,333	46%	0%	153,390	0	-	0%	65,773	90,654	73%	1%	74,310	82,926	90%	3%
SKU Efficiency	5.87%	0.65%	0	63%	-2%	2.65%	0	68%	-25%	1.50%	0	187%	18%	0.09	-	-	43%	8.96%	0	126%	17%	7.29%	0	98%	-3%
PC2	$208	$491	/	/	-$213	$792	/	/	-$495	$434	/	/	-$9	-$3,050	/	/	-$5,100	-$776	/	/	-$2	$2,318	/	/	-$321
PC2 %	0.10%	5.10%	/	/	-3.90%	2.20%	/	/	-1.20%	7.40%	/	/	-2.00%	-1.90%	/	/	-3.50%	-0.90%	/	/	-3.20%	4.10%	/	/	-1.00%

Highlights

- **Overall Feb MTD:** 27.9k ADO (MoM + 20%), ADG $353k (MoM + 39%); PC2 $208 (0.1%)
- **SG/MY:** missing target due to SKU migration & SKU efficiency underperforming, to migrate all SKUs by EOM and drive seller investment
- **Other markets:** Market push has begun but missing target due to SKU migration, also targeted to complete by EOM

Answering Ian's questions:

1. ***For SG/MY performance "same seller base, different markets. One grew MoM, the other went down" -> Top few GGPs dropped in MY e.g. 小宅女's GGP due to decreased marketing investment during CNY (~400+ ADO in Jan (MY) drop to 100+ ADO). They also fell in SG but base is smaller (~10 ADO in SG). Other shoes and bags sellers grew in SG MoM contributing to overall growth.***
2. ***PH performance "good or not" -> PH performance increased MoM to 13k, CB% grew from 1% to 1.3% (full month). PC2 dropped in line with PHCB (-3% MoM) due to increased platform rebates***

[Projection] VN ADO uplift 91% YoY to 10k; TH ADO uplift 66% YoY to 9.2k; TW ADO uplift 75% to 368

VN/TH/TW/PH 2025 Taobao fashion targets aligned with local markets and CN SMT

Markets	Key Result	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	Dec vs Jan
VN	ADO	5,444	6,179	7,492	8,165	8,651	9,137	9,366	9,260	9,381	9,595	9,924	10,386	91%
	ADG	$51,174	$58,071	$70,373	$76,697	$81,263	$85,818	$87,977	$86,972	$88,118	$90,119	$93,209	$97,546	91%
	SKU #	69,180	82,926	90,247	99,072	100,272	101,472	101,472	101,472	101,472	101,472	101,472	101,472	47%
TH	ADO	5,597	6,463	7,420	7,680	8,008	8,718	8,687	8,708	8,954	8,950	9,269	9,281	66%
	ADG	$61,480	$65,381	$77,549	$80,687	$84,226	$91,593	$91,221	$91,456	$94,022	$93,988	$97,340	$97,466	59%
	SKU #	66,114	90,654	102,230	117,595	118,795	119,995	119,995	119,995	119,995	119,995	119,995	119,995	81%
TW	ADO	210	260	294	294	324	322	321	316	331	343	392	368	75%
	ADG	$4,804	$5,915	$6,684	$6,693	$7,367	$7,337	$7,315	$7,183	$7,533	$7,818	$8,914	$8,383	75%
	SKU #	15,009	32,333	41,143	52,056	53,256	54,456	54,456	54,456	54,456	54,456	54,456	54,456	263%
PH	ADO	9,389	9,951	10,449	10,089	10,115	10,489	10,734	10,861	11,098	11,294	12,999	13,492	44%
	ADG	$95,304	$101,011	$106,062	$102,405	$102,678	$106,466	$108,961	$110,244	$112,648	$114,638	$131,951	$136,951	44%
	SKU #	133,475	133,475	133,475	133,475	133,475	133,475	133,475	133,475	133,475	133,475	133,475	133,475	0%

Highlights

- **VN:** target uplift of +4.9k ADO (+91% YoY), +$46k ADG (+91% YoY); +32k SKU count (+47% YoY)
- **TH:** target uplift of +3.6K ADO (+66% YoY), +$35k ADG (+59% YoY); +53k SKU count (+81% YoY)
- **TW:** target uplift of +158 ADO (+75% YoY), +$3.5k ADG (+75% YoY); +39k SKU count (+263% YoY)
- **PH**: target uplift of + 4.1K ADO (+44% YoY), +$41k ADG (+44% YoY) **pending confirmation with market*
- **Key assumptions**
  - Self run GGPs can migrate ~50% of their SKUs to VN/TH/TW by Apr'25
  - CNSIP GGPs can migrate ~20% of their SKUs to VN/TH/TW by Mar'25
  - SKU efficiency will grow ~8%-20% from Jan to Dec'25 due to VN/TH/TW's marketing packages
  - 4.8K SKUs each will be newly acquired for VN/TH/TW by Dec'25
- The growth trajectory is meaningful. As a benchmark, baseline CNCB Fashion (exclude Fashion Accessories) ADO 9 Jan - 8 Feb 2025: VN 157K, TH 69K, TW 26K, PH 156K

[Feb focus] In Feb, we will continue to accelerate the push by 1) build success case; 2) upsize marketing push co-invested with local markets; 3) push SKU migration and ads setup

#	Initiative	Description	ETA
1	Building **success cases** for acquisition	• 17 sellers chosen to push to **at least 100 ADO target** • Prioritize resource allocation to these sellers e.g. CFS slots, KOL matching	End Q1
2	**Upsized Marketing Push co-invested with local markets**	• Discussed guidance from Ian to co-invest MP PC2 to drive seller growth at this stage • Aligned with SG/MY to co-invest into AMS/live-stream as the most effective lever shown by INV • Plan finalized, next step to implement from mid-Feb	Kick-off: Mid Feb Deep dive in next slides
3	**SKU Migration**	• SG/MY: First round migration **done**, but sellers delisted SKUs due to CNY • Other markets: Delayed due to CNY • Aligned to complete re-listing/ migration by end of Feb with a weekly relisting plan	End-Feb
4	**Set-up ads** for sellers	• Set-up ads on behalf of sellers to **fully utilise** free ads spending, and **push more traffic to new SKUs** • CN collating seller list for Reg CB team to set-up ads	Mid-end Feb

1 [Focus Seller Push] Plan to grow 17 key sellers as success cases to 3.3k ADO regionally by end Q1'25

Table: 17 chosen sellers to grow as success cases for Taobao project

#	GGP	Brand	Taobao L1 rank	Jan'25 ADO		Target ADO		Current incentive (SG)	Current incentive (MY)
				SG/MY Combined ADO	Overall ADO	SG+MY	Regional		
1	晋江市京翰进出口贸易有限公司 - GGP	361 Degrees	8	17	95	100	300	Ads: 200 SGD monthly Voucher: 200x monthly CFS: 5 slots/day/seller DD:exposure with platform item rebate up to 5% SSV: For Co-share Voucher = Shopee borne ⅓ is applicable KOL(s) support for Livestream	Ads: 500 RM monthly CFS: 2-5 slots/day/seller LTD Feature under FAHB Circle Waterfall Collection 3rd Tab 1x HP Shared Banner on 24th (subject to availability)
2	厦门天邻缘电子商务有限公司 - GGP	特步	9	35	133	100	300		
3	泉州市跨远商贸有限公司 - GGP	马登	30	13	84	100	300		
4	揭阳市米果贸易有限公司 - GGP	xixitiao	98	7	235	50	300		
5	浙江森马电子商务有限公司 - GGP	Balabala/Semir	8	0	300	50	300		
6	保定白沟新城优上良品皮具店 - GGP	Auudre	65	0	111	50	300		
7	杭州肆橙科技有限公司 - GGP	artsman	40	0	408	50	300		
8	厦门安之意体育用品有限公司 - GGP	安踏	10	0	83	-	300		
9	广州黑色草莓电子商务有限公司 - GGP	黑色草莓	9	25	23	100	100		
10	厦门彤倩电子商务有限公司 - GGP	李宁	6	16	25	100	100		
11	广州翊诚电子商务有限公司 - GGP	Shuangxing	209	0	7	50	100		
12	广州市都市本源电子商务有限公司 - GGP	Vanwalk	117	1	25	50	100		
13	武汉百盈多网络科技有限公司 - GGP	真维斯	32	0	0	50	100		
14	杭州慧康华卓进出口贸易有限公司 - GGP	JNBY	208	0	0	50	100		
15	深圳虎威制衣有限公司广州分公司 - GGP	佐丹奴 Giordano	50	0	37	-	100		
16	百丽电子商务(上海)有限公司 - GGP	Staccato	21	0	5	-	100		
17	广州氛围科技有限公司 - GGP	Foxlover	137	0	7	-	100		
	Total	-	-	**115**	**1,579**	**900**	**3,300**		

Highlights:

- **17 top TB brands** (with low ADO) chosen to grow to become success cases jointly by CN SMT and local markets; including 361 degrees, balabala, Anta
- Target to grow them to either 300 ADO (or 100 ADO) regionally by **end-Q1'25**
- SG/MY to give sellers **more priority** in terms of top KOL matching (SG), and more CFS slots / better position on microsite (MY)
- Next steps: Discuss push plan with VN/TH/TW on potentially securing homepage banners, microsites, or other traffic exposures

[Marketing Booster Plan] SG/MY will provide KOL livestream and AMS top-ups, on top of sellers commitment to give 10-15% AMS and ads top-up / livestream exclusive price

Sub-Type		Seller Commit		Shopee Commit	
		MY	SG	MY	SG
Compulsory	Ads Credit	Ensure all ads credit is utilised monthly	Ensure all ads credit is utilised monthly	RM500 monthly	S$200 monthly
	Ads Credit Voucher	Ensure voucher is utilised monthly; Min spend RM500 on ads credit voucher	Ensure voucher is uttilised monthly; Min spend S$150 on ads credit voucher	1x voucher (RM500-50%, cap RM2k)	1x Voucher monthly (S$150-50%, cap S$800)
	Sponsored Vouchers	-	-	-	200x Vouchers monthly (S$15-15%, cap S$5, budget S$1k)
	CFS	Meet SS price criteria	Meet FD price criteria	2-5 slots/day/seller	5 slots/day/seller
	LTD/DD	Meet LTD entry criteria and min 50% ADG target coverage	Meet DD entry criteria and min 50% ADG target coverage	Product feature under FAHB circle Waterfall Collection 3rd Tab and under "RM30 Deals & Below"	DD exposure with platform item rebate up to 5%
	SSV	Meet SSV mechanics criteria and min 50% voucher budget	Meet SSV mechanics criteria and min 1x voucher participation	1x Feature Voucher (subjected to availability)	Co-share voucher (SHP borne 1/3)
Optional *If opt in, must commit to all	AMS	Activate min 10% AMS storewide	Activate min 15% AMS storewide	Sponsor additional commission up to 10%	Sponsor additional commision up to 10%, cap $5
	Livestream	Sponsor samples RM200-RM500/KOL *Refresh samples monthly	Sponsor 8x samples/KOL (refresh samples monthly)	Top KOL to stream for seller (1x KOL, up to 8 streams/month) *each stream exclusive to brand	Top KOL to stream for seller (2x KOL, up to 8 streams/month) *each stream shared by 4 brands
	Livestream Vouchers	-	S$50/KOL/Stream	-	Creation of 3x KOL Livestream vouchers
	Livestream Exposures	-	Nominate 30 products, with min 8 offering LS exclusive price	-	Shared feature, once/month: 1x Home Card, 1x Floating Icon, 1x Live Pop-up, 1x Live Banner, 1x Feature on Live microsite
	Paid Ads	Top up min RM1k	-	1x HP shared banner on 24th (subject to availability)	

Upsized marketing pitch for sellers

Highlights

- **AMS Commitment:** Sellers to commit 10-15% AMS, with platform committing additional 10%
- **KOL Livestream:** Top KOLs selected for program sellers, in exchange for free samples / exclusive livestream price
- **Ads Top-up (MY only):** 1k paid ads top-up in exchange for shared homepage banner

[Marketing Booster Plan] SG: To start TB Fashion multi-brand streams wef 26 Feb as part of Daily 8PM Fashion push; target 15 brands and 10 KOLs

Program Overview

Key Message & USPs	• **Daily 8PM Fashion Try-Ons** • USP (1): Stack $10 Off Vouchers • USP (2): 15-Day Free Return
Focus Brands	• Target to start with 15 brands • Top Taobao fashion sellers e.g Xiaozhainv
Focus KOLs	• Target 10 KOLs • Fashion streamers on Shopee e.g.Danceltsang, jiaxianlee, angelorangelor
Seller Obligations	• Product seeding of min. 8 products/KOL (2x KOLs) • Min. 15% AMS • Provide livestream exclusive price for featured stream items (~8 SKUs) • Provide $50 worth of LS exclusive shop vouchers/stream • No hosting fee
What Shopee Offers	• Match KOL streamers to each brand • Upsize Shopee Commissions (10% cap $5) • Live ads credits • Exclusive fashion stream platform vouchers • KOL order bonus incentives • Base pay for KOLs (first 5 months) • Shared exposures for overall Fashion campaign
Streamer Requirements	• Fashion sellers will be assigned **2 KOLs to do 8 streams per month (2 streams/week)** • KOLs will be engaged for min. 2-hour per stream
Target Launch	• **26 Feb**

Launch Timeline

Date	Item	PIC	Status
10 Feb	Seller to confirm participation & pricing mechanics	BD	Ongoing
11 Feb	CP to share finalised list of brands with MKT	CP	Upcoming
14 Feb	MKT to confirm list of KOLs	MKT	Upcoming
18 Feb	Sellers to set up AMS and sufficient stocks, to send out products	BD	Upcoming
25 Feb	Products delivered to KOLs	All	Upcoming
25 Feb	CP to upload LS CMT	CP	Upcoming
26 Feb	Live	All	Upcoming

Highlights

1. Provide free KOL-matching for CB brands as part of SG's overall fashion push (Daily 8pm Fashion Try-Ons)
2. Target to kickstart CB fashion streams wef 26 Feb with 15 brands and 10 KOLs
3. Next steps:
   a. To confirm brands' participation by 10 Feb
   b. KOL confirmation by 14 Feb

Private & Confidential

2 [Backup: Marketing plan] VN, TH, TW

	Seller Commits			Shopee Commits		
Type	VN	TH	TW	VN	TH	TW
Ads	**Uplift MoM** in ads spending	Ads investment **increase MoM**	Ads credit **utilisation** and **top up**; Meet SKU-level target; Meet seller voucher criteria	**50% of incremental ads** spending cap $200	1st Month: **$50** to sellers with ADO 2nd Month onwards: **50% ads credit** of incremental, cap $500	**$80** free ads credit
Voucher	**Uplift MoM** in ads spending	Voucher investment **increase MoM**	Commit monthly 1. Qty >= 100 2. Discount >= 5% 3. Usage >= 60% [Optional] Ensure ads credit by SHP is utilised	**15% off**, min spend $6, cap $200	**80% of incremental SV**, cap $500	**40 x $0.3** off MS $6.1 **$20** free ads credit [Optional] **Additional $20** free ads credit
CFS	**10% discount** vs BAU price, **min 50 stock / slot**	-	Top 20 sellers in Jan (in terms of ADO uplift from M-1) OR Top 10 sellers in Feb/Mar (in terms of ADO uplift)	**15 slots / month**	-	For top sellers, **1 slot/seller**
Rebate	-	Turn on **AMS** and **meet campaign price** criteria	-		**15 SKUs** for DDAY, 2DDAY, PAYDAY	-
AMS	[Optional] Activate **min 6% AMS** (+15% on top 5 SKUs)	-	-	[Optional] Fashion Friday Campaign; Shopee Style Campaign	-	-
DD	**10% discount** vs BAU price	**Meet campaign price** criteria	-	Platform **rebate up to 8%** with DD exposure, top 5 SKUs x 50	Feature in CB collection	-
SSV	**15% off** min spend $6 cap $1.2 x **100 vouchers**	-	-	Match **100 vouchers**	-	-

4a. Counter Taobao Furniture

[Recap: opportunity] We have identified 48 GGPs with 574k SKU migration opportunity and 5.7k ADO uplift potential across 6 markets; phase 1 focus on pushing for migration to SG+MY

Table: 48 identified sellers with SKU location split across 6 markets

# GGP	Market	# GGP	# Active Shop	MP SKU(Furniture+mattress)				Unique MT SKU(Furniture+mattress)		Migration Opportunity					
				Total	SKU with CN stock	3PF SKU	Dec ADO	Total	SKU with CN stock	Total	CN Stock Migration	3PF Stock Migration	Target Migrated SKUs	Expected ADO Uplift	
48	SG	37	550	107,967	25,262	82,705	732.6	117,245	105,521	9,278	8,350	928	3,090	336	2
	MY	34	163	5,573	3,534	2,039	619.3			111,672	100,505	11,167	89,338	1,327	
	TH	23	113	3,306	161	3,145	807.3			113,939	102,545	11,394	72,921	1,781	
	PH	25	139	2,183	956	1,227	680.8			115,062	103,556	11,506	73,640	736	
	VN	18	69	331	110	221	75.8			116,914	105,223	11,691	74,825	1,713	
	TW	9	28	443	443	0	0.0	1		116,802	105,122	11,680	74,753	169	3
			1,062	*119,803*	*30,466*	*89,337*	*2,916*			574,389	516,950	57,439	385,477	5,726	

Highlights

1 **From 48 identified TB furniture sellers, 117k unique SKUs** identified that can be migrated across markets

2 **(Phase 1) Push migration to SG+MY**
- Cross migrate skus and sell from CN to **MY/SG** [Feb]
- Push **top 3 3PF sellers self-migrate SKUs** across markets by furniture push packages [Feb - Mar]

3 **(Phase 2) Push migration to TH/VN/TW/PH**
- Build up bulky channels to facilitate shipment from CN to local markets [Feb-Mar]
- **Focus on TH/VN first** due to market receptiveness and potential [Feb - Apr]

[MY/SG: baseline performance] SG+MY Feb MTD 1.2k ADO; $76k ADG; PC2%+ve at 4.9% (SG) / 8.7% (MY)

Phase 1 Baseline Performance SG+MY (total 48 GGPs; 37/48 present in SG; 34/48 present in MY)

		SG			MY		
		MTD Feb	M-1 Jan	MoM	MTD Feb	M-1 Jan	MoM
Topline	**ADO**	**580**	**657**	**-12%**	**666**	**651**	**2%**
	ADG	$50,149	$54,256	-8%	$25,972	$26,106	-1%
	ABS	$86	$83	5%	$39	$40	-3%
SKU	**SKU count**	**127,589**	**129,410**	**-1%**	**6,198**	**6,101**	**2%**
	SKU effi	0.45%	0.51%	-10%	10.75%	10.67%	1%
PC2	**PC2 %**	**4.9%**	**5.4%**	**-1%**	**8.7%**	**9.3%**	**-1%**
	PC2 (absolute)	$2,476	$2,920	-15%	$2,262	$2,424	-7%
Revenue	**Total revenue %**	**10.5%**	**9.4%**	**1.1%**	**14.2%**	**14.5%**	**-0.3%**
	...Base comm	8.2%	7.1%	1.1%	8.3%	8.2%	0.1%
	...Optional comm	0.0%	0.0%	-	0.0%	0.0%	-
	...CCB comm	0.0%	0.0%	-	0.0%	0.0%	-
	...FS comm	0.0%	0.0%	-	0.0%	0.0%	-
	...Paid ads	0.3%	0.7%	-0.4%	2.9%	3.2%	-0.3%
	...Mkt solution	0.0%	0.0%	-	0.0%	0.1%	-0.1%
	...Handling fee	1.9%	1.6%	0.3%	2.9%	2.9%	0.0%
	...DP revenue	0.0%	0.0%	-	0.0%	0.0%	-
Cost	**Total cost %**	**5.5%**	**4.0%**	**1.5%**	**5.5%**	**5.2%**	**0.3%**
	...Item rebate	0.1%	0.1%	0.0%	0.2%	0.1%	0.1%
	...Voucher rebate	3.1%	2.0%	1.1%	5.5%	5.3%	0.2%
	...Coin rebate	0.6%	0.3%	0.3%	0.3%	0.5%	-0.2%
	...Logistics rebate	0.1%	0.0%	0.1%	-1.6%	-1.6%	0.0%
	...Txn	1.6%	1.6%	0.0%	1.0%	0.9%	0.1%

Highlights:

- **Feb MTD Performance**
  - SG: 580 ADO (-12% MoM); $50k ADG (-8% MoM); PC2 +ve at 4.9%, $2.5k daily. ADO drop due to CNY impact
  - MY: 666 ADO (+2% MoM); $26k AGD (-1% MoM); PC2 +v3 at 8.7%, $2.3k daily
- **SKU#**
  - SG: 128k (-1% MoM), additional
  - MY: 6k (+2% MoM)
- **Next step focus on**
  - **SKU**: push migration acquisition to SG+MY with Round 2 pitching [ETA: end-Feb]
  - **SKU effi**: start marketing push in SG+MY as planned [Kick off: 10-Feb]
  - Start phase 2 (VN+TH) pitching pool alignment, target setting, incentive plan formulation, acquisition planning

[MY/SG: target] MY ADG uplift 2.8x YoY to $91k USD; SG ADG uplift 1.7x YoY to $104k USD, by Dec-25

MY/SG 2025 Taobao furniture targets aligned with local markets and CN SMT

Markets	Key Result	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	Dec vs Jan
MY	ADO	755	849	959	1,071	1,222	1,310	1,371	1,611	1,895	2,020	2,190	2,292	204%
	ADG	$31,907	$34,699	$39,727	$44,170	$50,071	$53,453	$55,769	$65,239	$76,505	$81,346	$87,982	$91,948	188%
	SKU #	13,525	20,363	64,773	69,015	73,273	77,178	81,084	84,989	88,894	92,709	96,525	100,340	642%
SG	ADO	$769	799	824	850	877	905	935	965	1,004	1,037	1,076	1,118	45%
	ADG	61589	$63,692	$66,488	$68,983	$71,670	$74,562	$77,724	$81,106	$86,956	$90,399	$98,147	$104,301	69%
	SKU #	132,391	138,391	138,933	139,475	140,016	140,658	141,844	142,537	143,231	143,381	143,531	143,681	9%

Highlights

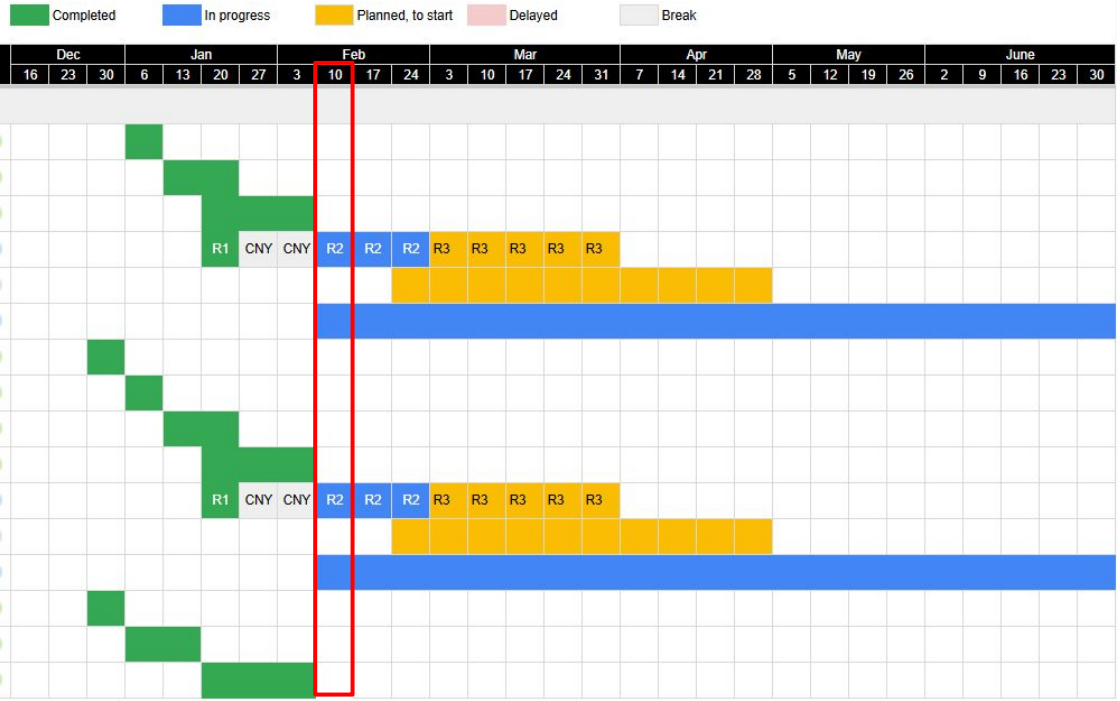
- **MY:** target uplift of +1.5k ADO (3x YoY), +$60k ADG (3x YoY); +86k SKU count (7x YoY)
- **SG: target** uplift of +349 ADO (1.5x YoY), +$42k ADG (1.7x YoY); +11k SKU count
- **Key assumptions**
  - Top 3 SG GGPs can migrate ~60% of their SKUs for MY in Mar'25
  - SKUs can be cross migrated between SG & MY 3PF with new product feature by June, increasing SKU # by another 20%
  - SKU efficiency will grow ~20% from Jan to Dec'25 due to SG/MY's marketing packages
- The growth trajectory is meaningful. As a benchmark, baseline CNCB Furniture + Mattress ADG 7 Jan - 6 Feb 2025: SG $82k USD, MY $70k USD

[MY/SG: progress] Overall on track; on-going SKU migration pitching and marketing push; target to conclude pitching by end-Mar, complete SKU migration by end-Apr

Furniture

Completed | In progress | Planned, to start | Delayed | Break

Market	Topic	#	Task	PIC	Status
Phase 1 [Migration] - Cross-migrate existing TB SKUs on Shopee platform to SG and MY					
SG	Commercial	1	Align potential migration pool	Tina	Completed
		2	Align migration incentive plan to seller and marketing resource support to migrated SKUs	Tina	Completed
		3	Align SKU migration target and ADO target	Tina/Peggy	Completed
		4	Conduct seller pitching	Peggy	In Progress
		5	Support seller onboarding / SKU listing	Peggy	To start
		6	Conduct marketing push	Tina	In Progress
	Service	7	Assess logistics blockers (channel availability and limits; rate card competitiveness; installation services)	Nicholas	Completed
MY	Commercial	8	Align potential migration pool	TM	Completed
		9	Align migration incentive plan to seller and marketing resource support to migrated SKUs	TM	Completed
		10	Align SKU migration target and ADO target	TM/Peggy	Completed
		11	Conduct seller pitching	Peggy	In Progress
		12	Support seller onboarding / SKU listing	Peggy	To start
		13	Conduct marketing push	TM	In Progress
	Service	14	Assess logistics blockers (channel availability and limits; rate card competitiveness; installation services)	Nicholas	Completed
		15	Formulate logistics solution (e.g., new channel, higher limit and better price with vendor nego)	Felicity	Completed
		16	Push sellers to adopt the new logistics solutions	Peggy	Completed



We are here

Highlights:

- Targets and incentive packages finalized for SG+MY
- Focus this month: 2nd round of **pitching sellers to migrate SKUs over to SG+MY**
- Marketing push to begin this week for 48 GGPs; focus on top GGPs

[MY/SG: incentive package] Seller incentive packages are finalized for SG+MY; upsized package for top 3-5 VIP sellers

Seller type	Seller commits		SHP commits		
	SG	MY	Category	SG	MY
SKU Migration	Migrate **min 30 SKUs/shop**; min $150 ads top up	Migrate **min 10 SKUs/shop**; storewide AMS 9%	Base comm	-	-
			Rebate	Up to 6% item rebate	Up to RM 2,500, capped at 10% CIR
			Voucher	-	50% co-fund voucher; Up to RM2,000 category funded voucher; Livestream vouchers
			Ads	50% co-share paid ads, capped S$150	-
			AMS	-	Co-fund AMS commission upsize
			Microsite	Shopee Home Collection	Shopee Home Collection; Free Shipping Collection
			Campaign participation	-	Shocking Sale Slot
			Others	-	Assigned RM
SKU Sourcing (VIP seller package)	Source **min 300 SKUs/shop**; min ads spend $600	N/A	Base comm	3% commission waiver	N/A
			Rebate	Up to 6% item rebate	
			Voucher	-	
			Ads	50% co-share paid ads, cap S$600	
			Marketing assets	**Microsite:** Shopee Home Collection	
			Campaign participation	-	
			Others	Assigned RM	
SKU Sourcing (Non-VIP seller package)	Source **min 30 SKUs/shop**	Source **min 10 SKUs/shop**; co-fund 50% vouchers; Storewide AMS 9%	Base comm	3% commission waiver	-
			Rebate	Up to 6% item rebate	Up to RM2,500, capped at 10% CIR
			Voucher	-	50% co-fund voucher; Up to RM2,000 category funded voucher; Livestream vouchers
			Ads	-	-
			AMS	-	Co-fund AMS commission upsize
			Microsite	Shopee Home Collection	Shopee Home Collection; Free Shipping Collection
			Campaign Participation	-	Shocking Sale Slot
			Others	-	Assigned RM

[MY/SG: pitching] From 1st round of pitching, 3/48 agreed to migrate SKUs to SG, and 8/48 agreed to migrate SKUs to MY; next-step to push follow-up/re-pitching for the rest to be complete by end-Feb

Table: 48 Sellers SKU Migration Pitching Progress

		SG		MY		Remarks	Next-steps
		# sellers	% sellers	# sellers	% sellers		
Target pitching pool	Total	48	100%	48	100%	Total 48 GGPs to pitch for SKU migration	
Pitching status	Pitched	18	38%	19	40%		
	Pending pitch	30	62%	29	60%	Removed by CN SMT team from pitching pool as they feel the sellers are already present in the local market with high # of SKUs	PMO team to provide SKU list to be migrated for each seller in this group, for CN SMT team to do targeted SKU pitching
Pitching outcome	Accepted	3	6%	8	17%		**Existing SKUs:** start marketing push with BAU Microsite Feature; Spike day DD/LTD campaign participation with item rebate **Top 3 GGPs:** 83k MT SKUs (78% total migration pool) to complete migration by early-Mar
	Rejected	4	8%	6	13%	**Rejection reasons**: 1) sellers only willing to focus on main market and unwilling to operate in MY and SG; 2) no plans for markets expansion	Round 2 re-pitch to be completed by end-Feb; explore shop ops by CNSIP team
	Pending response	23	48%	15	31%	**Pending reasons**: 1) unable to connect with sellers; 2) sellers still considering	Follow up and round 2 repitch to be completed by 14 Feb (for unresponsive sellers, to continue to end-Feb)

[Furniture next-steps] We will continue phase 1 migration & marketing push, and 1) expand pitching pool with top 500 TB sellers crawled; 2) align program plan and set up bulky channel in VN/TH

Market	#	Initiative	Plan	ETA
SG/MY	1	**Cross-market SKU migration**	• Migrate SKUs to SG/MY ○ Prioritizing **top 3 GGPs** and complete by early Mar ○ Remaining to complete by end of Mar (+85k MY / +3k SG)	Early-Mar (top 3 GGPs) End-Mar (rest)
	2	**Acquire top 500 TB sellers**	• **Pitching for top 500 TB Furniture sellers** and acquire them onto SHP	End-Feb (round 1)
	3	**Set-up installation**	• STO installation was planned for local only, will explore to leverage local implementation to CB and launch Best installation	End-Apr
VN/TH	4	**Plan for program kick-off**	• Finalize target pitching pool, incentives package, marketing resources, acquisition plan	Mid-Feb
	5	**Set-up bulky channel**	• Strict dimension/weight limit for existing channel, restricting shipment of bulky parcels • To source for **3PL that can do bulky** ○ VN: check if can use SPX ○ TH: source new 3PL	End-Mar (target)
PH/TW	**[Pending]** • PH has enough TB furniture assortment, will identify the skus and make plan for mkt resources allocation the same as fashion • TW potential is small (0 ado in Jan'25), deprioritized to later phase			

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4b. Regional Direct Selling (CB MP model)

[Context] Global Seller Center addresses local sellers' pain points in CB selling, and enables regional scale-up of Direct selling (i.e., MP CB selling) to all local sellers; target phase 1 features go-live from end-Mar

Value proposition of Global SC (MYSG example)

	Category	Priority business needs	MYSG Seller Center system features to meet the business needs
Local Needs	MY Local MP Selling	Minimal impact/disruption to MY sellers' local selling	• Maintain the **same local selling interface and experience** as existing MY seller center
	MYSG MP Direct Selling	Solve the pain points of MYSG MP Direct sellers; maximize CB direct selling ADO potential	• Seamlessly migrate the SG shop of MY Direct sellers to MYSG Seller Center; **seller operate MY and SG shops from one seller center** • Mirror all listings/sold count/review history from seller's MY shop • Provide **pricing recommendation** • **Integrate sellers' logistics, payment, buyer chats for MY and SG shops in one interface**
CB Potential	SIP Synergy	Streamline seller acquisition into SIP/Direct, enable switch between SIP & Direct	• **Invite sellers with high SG ADO potential to open Direct shop for SG**, as whitelisted by ops team • Enable **switch between SIP and Direct shops**
	Regional Replicability	Replicable to other lanes beyond MYSG	• Streamlining and synergy between SIP & Direct shops will be **replicable to other CB lanes** • Overall grow CB MP selling by maximizing platform ADO potential by **guiding sellers to use a more suitable channel (SIP vs Direct)**

[Impact estimation] Direct selling estimated to bring 64% export ADO uplift vs current SIP baseline; contingent on 1) Global SC features fully rolled-out; 2) one-AWB in place; 3) seller CB capabilities ramped up

		Dec-24 full-month data for topline uplift % estimation				Remarks
		ID	MY	VN	Total	
SIP + Direct	**Total**	**122,911**	**38,844**	**25,218**	**186,973**	1
	…Uplift vs SIP-alone growth	64%	64%	64%	64%	
	…Direct contribution	57%	57%	57%	57%	
SIP	**Total**	**52,371**	**16,551**	**10,745**	**79,667**	
	SIP-alone growth	74,815	23,644	15,351	113,810	
	Convert top SIP sellers to Direct	-22,444	-7,093	-4,606	-34,143	30% SIP ADO to be converted to Direct
Direct	**Total**	**70,540**	**22,293**	**14,473**	**107,306**	
	Grow converted SIP sellers	49,378	15,605	10,131	75,114	Direct vs SIP SKU effi multiple of 2.2x
	Acquire non-SIP sellers	21,162	6,688	4,342	32,191	30% Direct ADO from non-SIP seller acquisition 2

Highlights

1 **Estimated 64% export ADO uplift** per export market vs current SIP baseline; **ADO contribution from Direct ~57%**

- **Projection conditional to 1) Global seller center features** fully lived as planned; 2) **SPX e2e channel with 1-AWB** in place; 3) **Direct sellers fully ramped up** their selling capabilities (~12 months)
- **Key assumption**: 1) 30% of SIP ADO to convert to Direct; 2) Direct vs SIP SKU efficiency multiplier of 2.2 for SIP-converted ADO; 3) additional 30% of Direct ADO from acquisition of top local sellers who are not active on SIP

2 To **acquire sellers who are not active on SIP** to Direct, acquisition efforts estimated to be

- Pitching pool: ID ~12k top ADO generating sellers; MY ~15k; VN ~10k
- Pitching success rate target: 30% sellers accepted

[Roll-out timeline] 5 export markets confirmed to participate in the roll-out; target to roll out Global Seller Center and scale up direct selling regionally in Mar to Oct time frame, contingent on system readiness in-time

Export market	Global SC go-live	Overseas shop	2025										
			Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
MY	Mar-25	**MYSG**											
		MY-PH											
		MY-TH											
ID	Apr-25	**IDMY**											
		IDPH											
		IDSG											
		IDTH											
		IDTW											
VN	May-25	**VNMY**											
		VNSG											
		VNPH											
		VNTH											
		VNTW											
SG	Jun-25	SGMY											
		SGTH											
TW	Jul-25	TWMY											
		TWSG											

Global Seller Center go-live

Additional lane-specific configuration vs 1st lane

Business launch

Highlights

Target to roll out Global SC across MY/ID/VN/SG/TW by end-Aug, starting with MY/ID in end-Mar

Target to launch direct selling on the new Global SC for top 5 lanes by Jun

- Apr: MYSG, IDMY
- Jun: IDPH, IDSG, VNMY

Target to launch direct selling for other planned lanes by Oct, to catch peak seasons in Nov-Dec

Key launch planning assumptions

- 4-weeks to configure each subsequent lane in the same Global SC after first lane launch
- Business launch 2 weeks after system go-live
- Max 3 lanes for business launch in each month

Key contingencies

- Global SC roll-out on-time as planned
- One-AWB logistics channel ready together with Global SC launch
- No major feature change/addition request for each export market (e.g.,ID raised additional feature asks which may need more time to develop)
- Export market SMT resources and destination market marketing resources in place for biz launch

[Back-up] ID Global SC will have additional features tailored to ID local seller needs in phase 1; to replicate them to other Global SC in phase 2; Christin suggested to bypass pilot and push SC launch as early as possible

New features requested by ID

Module	New Feature for ID Global Seller Center	Remarks
Chat	Support **auto-translation between Bahasa - English** for both buyer-seller chat and platform CS	Due to the language barrier, ID SC will support the translation between Bahasa to English for seller's easier operation
	Switch between **Shopee managed chat and seller managed chat**	Sellers can easily switch the chat to be Shopee managed if sellers don't want to handle the chat personally
Payment	**Payout flow improvement** to shorten the payout lead time	Currently IDMY Direct parcels payout ~16.4 days. ID biz team request faster escrow lead time for better seller experience; ID Global SC proposal as below

Payment features tailored to ID

Payment Lead Time	For Local SIP	For ID Local Orders	For MY orders in IDMY Project
End-to-end	4.2 days	4.2 to 10.2 days	Existing: 16.4 days Improved: 9.6 days
(+) Buyer waiting time	3.2 days	3.2 days	5.6 days
(+) Auto-completion window	N/A (immediate)	1-7 days depends on seller type configured	3 days
(+) Billing lead time	N/A (immediate)	N/A (immediate)	Existing: 7.8 days Improved: 1 day, need: 1) system to change configuration (low effort); MY side to pre-store money in Payoneer to avoid manual funding, which is time consuming (to be aligned with MY)

[Market onboarding] In progress of confirming export market participation in Global SC/Direct selling roll-out, and destination market marketing support

Highlights

- **Export Markets**
  - **ID/MY/SG/TW confirmed** to participate in Global SC / Direct selling roll-out as aligned with country manager; next step to jointly plan for launch
  - **VN started discussion**; next step to align with Anh in the next VNCB monthly management meeting
  - **TH/PH pending discussion**; next step to discuss in the next TH/PH CB monthly management meeting
- **Destination markes**
  - **SG/MY confirmed** marketing support for Direct selling; next step to jointly plan marketing resources required
  - **PH/TH/TW** pending discussion; next step to discuss in the next PH/TH/TW CB monthly management meeting

	Destination market status	Onboarded	Onboarded	Pending discussion	Pending discussion	Pending discussion
Export market status	**Region**	**SG**	**MY**	**PH**	**TH**	**TW**
Onboarded	ID	Onboarded	Onboarded	Pending discussion	Pending discussion	Pending discussion
Onboarded	MY	Lived	/	Pending discussion	Pending discussion	/
Onboarded	SG	/	Onboarded	/	Pending discussion	/
Onboarded	TW	Onboarded	Onboarded	/	/	/
Discussion in progress	VN	Discussion in progress	Discussion in progress	Pending discussion	Pending discussion	Pending discussion
Pending discussion	TH	Pending discussion	Pending discussion	Pending discussion	/	/
Pending discussion	PH	Pending discussion	Pending discussion	/	/	/

[Business plan - long-term] With full system features in place, we propose to open CB selling to all local sellers, giving them flexibility to have either a SIP or a Direct shop per destination market

		Option 1 Prioritize Direct (CB MP selling)	Option 2 Prioritize SIP	Recommended Option 3 Balance Direct / SIP
Description		• **Push sellers aggressively to Direct** • SIP incubates new sellers/SKUs only • [Similar to CNCB + CNSIP model]	• **Keep majority of sellers with SIP** • Limit Direct to a selected group of sellers who can generate higher shop ADO than SIP • SIP to take back shop control for underperforming Direct shops	• Open one CB shop per destination market for all local sellers • Sellers can choose to start with Direct / SIP (Sellers new to CB selling recommended to start with SIP) • Seller/Shopee can decide if/when to switch between two shop models
Impact	**Growth potential**	[High] Long-term high growth potential to platform as the business model introduce new groups of CB MP sellers	[Low] Low growth ceiling as SIP is limited by its mass management model	[[High] Seller + SIP combined captures both baseline platform growth + new CB MP seller group
	Assortment supply	[Moderate] Not all eligible local sellers are willing to start CB selling now	[Moderate] SIP migrates all eligible local assortment; however migration efficiency is limited by its mass management model	[High] SIP runs the overseas shop if seller is not willing to do; seller + SIP migrates all eligible local assortment with higher migration efficiency vs SIP alone
	Small market coverage	[Low] Sellers may deprioritize smaller markets, similar to CNCB sellers	[High] SIP supplies equally to all markets	[High] SIP to cover markets that sellers do not want to go; seller + SIP combined ensure coverage to all markets
Launch effort	**Ops complexity**	[High] Need to build export CB MP seller management capabilities in each local market	[Low] Mainly existing SIP ops; ride on existing SMT resources for the limited group of Direct sellers	[Moderate] Need to build CB MP seller management capabilities in each local market (smaller scale vs option 1) + ride on existing SIP ops/SMT resources
	Investment needed	[High] Co-investment needed from SHP on capability building and growth support at beginning	[Low] Mainly existing resources for SIP	[Moderate] Need full global SC features in place (allow switch between 2 models); co-investment needed from SHP (smaller scale vs option 1)

[Business plan - short-term: MYSG] With partial system features available in phase 1, we will prioritize to 1) migrate 5k existing MYSG Direct sellers; 2) pitch 2k non-SIP sellers; 3) convert 1k SIP sellers

	Current phase	
System go-live	**Phase 1**	**Phase 2**
Go-live timeline	31 Mar	Pending (Likely Q3/Q4 timeframe)
Product feature available	• Opens/runs overseas shop on local seller center • Migrates listing/review/sold count • Provides price recommendation • Allows sellers to convert their SIP shops to a Direct shops (one-way switch)	[In addition to phase 1 features] • Allows sellers/shopee to convert SIP shops to Direct and vice versa (two-way switch) • Enables seller to self-manage shop chat or with Shopee agents (for markets with language barriers) • Shorten payout timeline to be closer to local (immediate) vs CB (~2 weeks)
Business roll-out plan	1 **Migrate existing ~5k MYSG sellers** to the new global seller center and shut down their SIP shops [ETA: end-Apr] 2 **Invite ~2k top local non-SIP sellers** to open Direct shop via mass pitching [ETA: end-May] 3 **Whitelist additional 500-1k SIP sellers** with total 30% MYSG SIP ADO to Direct [ETA: end-Jul]	• Open Direct shop sign-up to all local sellers, • Support them to switch back to SIP if needed
Total potential (12 months after launch)	~45k ADO (assuming ~30% SIP ADO converted to Direct)	~60k ADO (assuming ~60% SIP ADO converted to Direct)

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[Business plan - short-term: MYSG] Target to achieve 35% total SIP+Direct growth to 37k (35% YoY) by Dec-25

Monthly ADO projection till Dec-25

Segment	Program	Actual	Projection											YoY (Dec-25 vs 24)
		Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	
SIP + Direct	**Total**	**27,789**	**28,184**	**30,768**	**30,096**	**29,807**	**29,840**	**29,535**	**31,163**	**33,241**	**35,132**	**37,474**	**37,434**	**35%**
SIP	**Total**	**21,927**	**22,068**	**24,315**	**23,017**	**19,587**	**19,117**	**17,801**	**18,516**	**19,180**	**19,692**	**20,492**	**20,267**	**-8%**
	SIP-alone growth	21,927	22,068	24,315	23,017	23,528	24,242	25,430	26,451	27,400	28,132	29,274	28,953	32%
	ADO converted to Direct	0	0	0	0	-3,941	-5,125	-7,629	-7,935	-8,220	-8,440	-8,782	-8,686	-
	… % conversion	0	0%	0%	0%	17%	21%	30%	30%	30%	30%	30%	30%	-
Direct	**Total**	**5,862**	**6,116**	**6,453**	**7,079**	**10,220**	**10,723**	**11,734**	**12,647**	**14,061**	**15,440**	**16,982**	**17,167**	**193%**
1 **2**	Migrate existing 5k MYSG direct sellers + Acquire additional 2k non-SIP local sellers	5,862	6,116	6,453	7,079	7,422	7,780	8,156	8,379	8,783	9,207	9,652	8,986	53%
3	Converted additional 500-1k sellers from SIP	0	0	0	0	2,798	2,943	3,578	4,268	5,278	6,233	7,330	8,181	-

Highlights

- Direct topline projected to 17k ADO by Dec-25
  - For new sellers / SIP converted sellers, assume 12 months needed for seller to fully ramp up CB capabilities and realize full Direct potential per lane
  - % full potential realized by Dec-25: 56% of full potential for SIP converted sellers
- Total SIP+Direct topline projected to 37k by Dec-25
  - SIP topline expected to drop by 8k ADO by Dec-25 as seller shops are converted to Direct shops
  - Direct % to MYSG SIP+Direct topline reaches 46% by Dec-25